



ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED
30 JUNE 2011



Sweetening the lives of kenyans while powering communities



Vision, Mission and Core Values

Our Vision

To be a world class producer of sugar and energy.

Mission

To consistently satisfy consumer needs for sugar and energy through efficient and innovative practices while meeting the diverse expectations of all our stakeholders.

Our Core Values

- Consistently offer quality products and services to our customers.
- Uphold excellence in performance as a key business driver.
- Encourage teamwork and positive contribution from our motivated and innovative employees.
- Conduct business with our customers and all other stakeholders with integrity and probity.
- Practice fair competition.
- Observe good corporate governance at all times.
- Be a responsible corporate citizen.
- Be an equal opportunity employer guided by local laws and International Labour
- Organization conventions.
- Embrace internationally accepted health, safety and environmental practices in our operations.

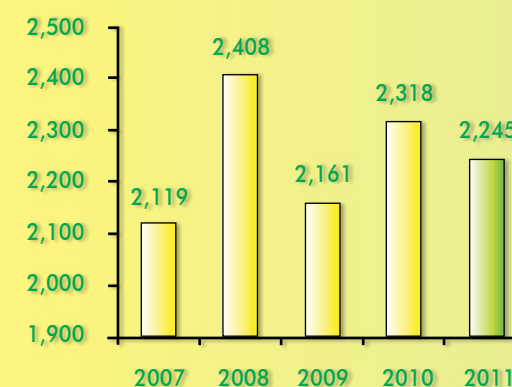
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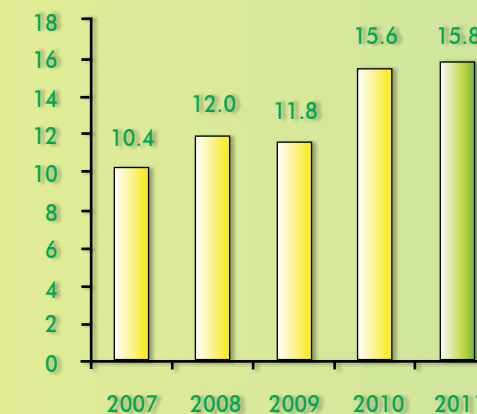


Performance Highlights

Sugar Cane Processed ('000 tonnes)



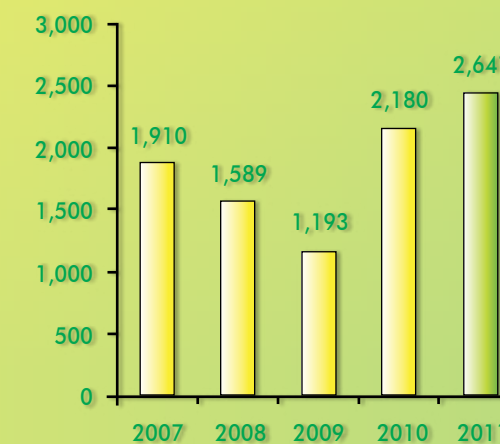
Net Turnover (Shs 'billions')



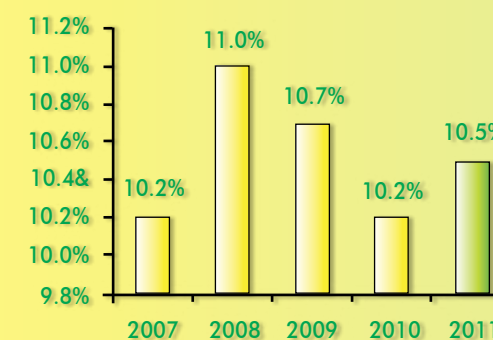
Sugar Production ('000 tonnes)



Profit Before Tax (Shs 'millions')



Rendement / Sugar Recovery Rate(%)



Earnings Per Share (Shs)



Corporate Information

DIRECTORS

Mr J V Bosse	- Chairman
Dr E Kidero	- Managing Director
Mr J Kinyua	- (alternate Mrs E Koimett)
Hon S A Wako	- (alternate Mr P O Okoth)
Mr J G Chege	
Mr K Gatabaki	
Ms S K Serem	
Mr S Bunyasi	
Mr M R Juma	
Mr F K Kigen	
Mr E M Mukabannah	
Mr J M Mruttu	

BOARD COMMITTEES

Board Audit Committee	Mr J G Chege Mr K Gatabaki Mrs E Koimett Mr S Bunyasi Mr F Kigen	- Chairman - (alternate Mr J Kinyua)
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Board Human Resource and Strategy Committee	Mr K Gatabaki Dr E Kidero Mrs E Koimett Mr E M Mukabannah Ms S K Serem Mr F Kigen	- Chairman
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Board Tender Committee	Mr M R Juma Mr J G Chege Mr P Okoth Mr J M Mruttu Ms S K Serem	- Chairman
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COMPANY SECRETARY

Mrs Emily Otieno
Certified Public Secretary (Kenya)
Private Bag, Mumias

REGISTERED OFFICE

Mumias Sugar Company Limited
Private Bag, Mumias

REGISTRARS

Image Registrars
P O Box 9287 - 00100
Nairobi

BANKERS

Kenya Commercial Bank Limited
Barclays Bank of Kenya Limited
The Co-operative Bank of Kenya Limited
CFC Stanbic Bank Limited

ADVOCATES

E K Owinyi & Company
Hamilton Harrison & Mathews
Wetangula & Company Advocates

AUDITORS

Deloitte & Touche
Certified Public Accountants (Kenya)
Deloitte Place
Waiyaki Way, Muthangari
P O Box 40092 - 00100
Nairobi

Shareholding Information

MAJOR SHAREHOLDERS

The major shareholders on the company's share register as at 30 June 2011 were as follows:

		Number of shares	Percentage holding
1	Permanent Secretary, Treasury	306,000,000	20.00
2	Kenya Commercial Bank Limited	26,322,100	1.72
3	Kanouti Trustees	16,397,541	1.07
4	The Jubilee Insurance Company Limited	12,273,898	0.80
5	Standard Chartered Nominees Ltd A/C 9098 AC	10,509,575	0.69
6	Abdul Karim Charturbhai Popat	10,500,000	0.69
7	Standard Chartered Nominees Ltd A/C 9389	10,295,334	0.67
8	The Jubilee Insurance Company Limited	9,461,104	0.62
9	Pradeep Patani	8,961,002	0.59
10	Yana Trading Limited	8,589,011	0.56
11	Others	1,110,690,435	72.59
Total		1,530,000,000	100.00

DIRECTORS' SHARE HOLDING

The directors' direct and indirect interests in the ordinary share capital of the company as at 30 June 2011 were as follows:

	Number of shares
Permanent Secretary, Treasury	306,000,000
Hon A S Wako	1,125,000
Mr M Juma	64,050
Mr Kungu Gatabaki	10,000
Ms Sarah Serem	7,500
Total	307,206,550

SHAREHOLDERS' PROFILE

Category	Number of shareholders	Number of shares	Percentage Holding
Local corporate	4,447	753,749,804	49.26
Local individuals	130,811	718,298,569	46.95
Foreign investors	676	57,951,627	3.79
Total	135,934	1,530,000,000	100.00

SHARES DISTRIBUTION SUMMARY

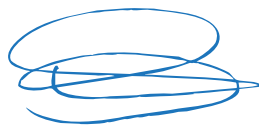
Shareholding Classification	Accounts	Number of Shares	Shares %
1 to 500	21,729	5,268,977	0.34
501 to 1000	41,487	28,809,158	1.88
1001 to 5000	50,497	117,429,527	7.68
5001 to 10000	11,176	78,829,862	5.15
10001 to 50000	8,826	183,060,690	11.96
50001 to 100000	1,023	72,058,515	4.71
100001 to 500000	908	189,386,097	12.38
500001 to 1000000	132	92,631,130	6.05
1000001 to 2000000001	156	762,526,044	49.84
Total:	135,934	1,530,000,000	100.00

Notice of the Annual General Meeting (AGM) 2011

NOTICE IS HEREBY GIVEN that the 40th Annual General Meeting of the company will be held at Tom Mboya Labour College on Friday 2 December 2011 at 10.00 a.m. to conduct the following business:

1. To read the notice convening the meeting.
2. To confirm the minutes of the Thirty Ninth Annual General Meeting held on 3 December 2010.
3. To receive, consider and, if approved, adopt the Financial Statements for the year ended 30 June 2011 together with the Directors' and Auditors' Reports thereon.
4. To declare and approve a final dividend of Shs 0.50 (fifty cents) per share for the financial year ended 30th June 2011 payable to the shareholders on the Register of Members at close of business on Friday 4th November 2011.
5. To elect Directors:
Mr. Joseph Kinyua, Mr. John Bosse, Mr. James Chege and Mr. Maurice Juma will retire by rotation in accordance with article 113 of the company's Articles of Association and being eligible, offer themselves for re-election.
6. To approve the Directors remuneration for the year ended 30th June 2011.
7. To note that the Auditors, Deloitte and Touche, being eligible, continue in office in accordance with section 159(2) of the Companies Act (cap 486) and to authorize the Directors to fix the Auditors' remuneration.
8. Any other business for which appropriate notice has been issued and received within the required time.

BY ORDER OF THE BOARD



E K OTIENO

Company Secretary

8 November 2011

Note:

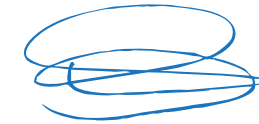
1. Any member may by notice duly signed by him or her and delivered to the Secretary, not less than 3 and not more than 21 days before the date appointed for the Annual General Meeting, give notice of his intention to propose any person for election as director to the Board, such notice is to be accompanied by a notice signed by the person proposed indicating his or her willingness to be elected.
2. A member entitled to attend and vote at the meeting and who is unable to attend is entitled to appoint a proxy to attend and vote on his or her behalf. A proxy need not be a member of the company. A form of proxy may be obtained from the Company's website or from the Company's share registrars. To be valid, a proxy must be duly completed and signed by the member and must either be lodged at the offices of the company's share registrars, Image Registrars and Certified Public Secretaries, 8th Floor, Transnational Plaza, Mama Ngina Street, P.O. Box 9287, Postal Code 00200 G.P.O NAIROBI or lodged at the Company's registered office at Mumias not later than 11.00 a.m on Monday 28th November 2011.
3. In accordance with Article 155 of the Company's Articles of Association, a copy of the entire Annual Report and Accounts, a copy of this notice and proxy form may be viewed on and obtained from the Company's website at www.mumias-sugar.com. An abridged version of the Balance Sheet (Statement of Financial Position), Income Statement (Statement of Comprehensive Income), Statement of Changes in Equity and Cash flow Statement (Statement of Cash Flows) for the year ended 30th June 2011 have been published in two daily newspapers with nationwide circulation.

Notisi ya Mkutano wa Pamoja wa Mwaka (AGM) 2011

NOTISI INATOLEWA HAPA KWAMBA mkutano wa 40 wa pamoja wa mwaka wa kampuni utafanyika katika chuo cha Tom Mboya Labour Ijumaa Desemba 2, 2011 kuanzia saa nne asubuhi ili kuangazia maswala yafuatayo kibiashara:

- 1) Kusoma notisi ya kuitishwa kwa mkutano.
- 2) Kuthibitisha kumbukumbu za mkutano wa 39 wa mwaka uliofanyika Desemba 3, 2010.
- 3) Kupokea, kuangazia na endapo itathibitishwa kupitisha taarifa za matumizi ya pesa kwa kipindi cha mwaka uliomalizika Juni 30, 2011 pamoja na ripoti za wakurugenzi na za wakaguzi wa pesa
- 4) Kutangaza na kupitisha malipo ya mwisho ya mgawo wa faida ya Shilingi 0.50 (Senti 50) kwa kila hisa kwa kipindi cha mwaka uliomalizika Juni 30, 2011 utakaolipwa kwa wanachama ambao majina yao yatakuwa kwenye sajili ya wanachama kufikia Ijumaa Novemba 4, 2011.
- 5) Kuwachagua wakurugenzi:
Mabw. Joseph Kinyua, John Bosse, James Chege na Maurice Juma watastaafu kwa zamu kwa mujibu wa kifungu nambari 113 cha Sheria za Kampuni na kwa kuwa hali inawaruhusu, wamejitokeza kuchaguliwa tena.
- 6) Kupitisha malipo ya wakurugenzi kwa kipindi cha mwaka uliomalizika Juni 30, 2011.
- 7) Kutambua kwamba, kwa kuwa hali inawaruhusu, wakaguzi wa pesa Deloitte & Touche wataendelea na jukumu lao kwa mujibu wa sehemu ya 159 (2) ya Sheria za Makampuni (kifungu nambari 486) na kuwaamuru wakurugenzi kuamua malipo yao.
- 8) Shughuli nyingine ambazo notisi yake itakuwa imetolewa na kupokelewa kwa muda unaofaa.

KWA AMRI YA HALMASHAURI



E K OTIENO

Katibu wa Kampuni

Novemba 8, 2011

Muhimu:

1. Kupitia notisi iliyotiwa sahihi na yeye mwenyewe, na kuwasilishwa kwa Katibu wa Kampuni kabla ya siku 3 na bila kuzidi 21 kabla ya tarehe iliyotangazwa kufanyika kwa mkutano wa pamoja wa mwaka, mwanachama yeyote anaweza kutoa notisi ya nia yake kumpendekeza mtu yeyote kuchaguliwa kama Mkurugenzi kwenye Halmashauri. Notisi kama hiyo iandamane na notisi iliyotiwa sahihi na mtu aliyependekezwa kuonyesha mapenzi yake kutaka kuchaguliwa.
2. Mtu aliye na uwezo kufika kwenye mkutano na kupiga kura lakini akawa hawezi kufanya hivyo, ana ruhusa kumteua wakala wake kuhudhuria na kupiga kura kwa niaba yake. Si lazima kwa wakala huyo kuwa mwanachama wa kampuni. Fomu ya wakala inaweza kupatikana kupitia tovuti ya kampuni au wasajili wa hisa za kampuni. Ili kukubaliwa, fomu ya wakala lazima iwe imejazwa kikamilifu na kutiwa sahihi na mwanachama na lazima iwasilishwe katika ofisi za msajili wa hisa za kampuni, Image Registrars and Certified Public Secretaries, orofa ya nane Jumba la Trans National Plaza Barabara ya Mama Ngina, SLP 9287-00200 GPO NAIROBI au iwasilishwe katika ofisi za kampuni mjini Mumias kabla ya saa tano asubuhi siku ya Jumatatu Novemba 28, 2011.
3. Kwa mujibu wa kifungu nambari 155 cha sheria za kampuni, nakala nzima ya ripoti ya mwaka na matumizi ya pesa pamoja na notisi hii na fomu ya wakala zinaweza kuonekana na kupatikana kupitia tovuti ya kampuni ambao ni: www.mumias-sugar.com Muhtasari wa mizania, taarifa za mapato na mabadiliko ya mtaji na mtiririko wa pesa kwa kipindi cha mwaka uliomalizika Juni 30, 2011 zimechapishwa kupitia magazeti mawili ya kila siku yanayosomwa kote nchini.

Board of Directors



MR JOHN BOSSE (64)

Mr. Bosse is the Chairman of the Board. He is an Associate of the Chartered Institute of Bankers (ACIB-UK). He has had a long banking career with Kenya Commercial Bank where he rose to be the Chief Operating Officer of Kenya Commercial Finance Corporation. He also served as Chief Executive of Development Bank of Kenya for over 17 years before his retirement.

Chairman



DR EVANS KIDERO (54)

Dr. Kidero is the Managing Director of the Company. He is a Pharmacy graduate from the University of Nairobi and holds an MBA from United States International University. He has a vast wealth of experience in management and other senior positions gained over the past 24 years. He has unrivalled experience in the manufacturing and media sectors. He is a member of various Boards, a key note speaker in various business conferences and a mentor. Prior to joining MSC, he was the Managing Director of GlaxoSmithKline and Nation Media -Newspapers Division.

Managing Director



MR FRANCIS KIPKOECH ARAP KIGEN (65)

Mr. Kigen is a graduate of University of Nairobi where he obtained a BA (Hons) degree before proceeding for a Masters of Education degree at the University of Malaysia, Kuala Lumpur in Malaysia. He has previously served as a director of Kenya Bureau of Standards, as alternate director at Esso Kenya Limited. He has held managerial positions having worked as Human Resources/Public Affairs Manager at Esso Kenya Limited, as a Training Manager at British American Insurance Company and as a Director of Kenya Institute of Personnel Management. Mr. Kigen is a member of the Board Audit Committee and the Board Human Resources and Strategy Committee.

Director



MRS ESTHER KOIMET (54)

Mrs. Koimet is the alternate to Mr. Joseph Kinyua, the PS Ministry of Finance. She holds Masters of Business Administration (MBA) and Bachelor of Commerce degrees from the University of Nairobi. She has held various senior positions in government and the parastatal sector. She has been a Permanent Secretary, Ministry of Tourism and Information as well as the Managing Director of Postbank. She is currently the Investment Secretary, Ministry of Finance. As an alternate director, Esther is a member of the Board Audit and Board Human Resources and Strategy Committees.

Alternate Director



MR KUNGU GATABAKI (66)

Mr. Gatabaki is a graduate of Economics, Project Finance and Management from Legan and Bradford Universities. He served as the Chairman of the Board Human Resources and Strategy Committee and a member of the Board Audit Committee during the period under review. He has a great background in corporate management, having worked for CDC (formerly Commonwealth Development Corporation) for 30 years. He has a wide experience in project finance, portfolio management and corporate board practices. He has served as director with TPS (EA) Serena Group, Development Bank of Kenya, Grain Bulk Handlers Ltd, Africa Reinsurance Corporation (SA) and the Chairman of Karume Investments among other companies Boards.

Director



MR JOSEPH KINYUA (64)

Mr. Kinyua holds a Master of Arts degree in Economics. He has worked in various senior positions in the Central Bank of Kenya, IMF and Ministry of Finance. He is currently the Permanent Secretary, Treasury and serves on several corporate boards. Mr. Kinyua is a member of the Board Audit and the Board Human Resources Committees.

Director



HON AMOS WAKO (65)

Hon. Wako holds a Bachelor of Law degree from the University of Dar es Salaam and Masters of Law and Bachelor of Science (Economics) Honours degrees from the University of London. He is an advocate of the High Court of Kenya and a Fellow of the Chartered Institute of Arbitrators. He was a partner of Kaplan and Stratton Advocates and was the Attorney General of Kenya during the period under review. Mr. Wako is a member of the Board Tender Committee.

Director



MR MAURICE JUMA (63)

Mr. Juma holds a Diploma in Statistics from the University of Dar es Salaam. He was a career banker having worked for Central Bank of Kenya for 27 years from where he retired as a Senior Research Officer. During his long stay at Central Bank, Mr. Juma worked as a member of the joint IMF and CBK Committee on Balance of Payment Review Committee. Mr. Juma is the Chairman of the Board Tender committee.

Director



MR MUKABANAH EDWINS MASSIMBA (54)

Mr. Mukabana holds a Masters of Science degree in Transport Planning and Management from Westminster (UK) and a Bachelor of Arts in Political Science. He is currently the Managing Director of the Kenya Bus Services Management Ltd and President of Bus Operators Commission at the Union of Africa Public Transport (UATP). Mr. Mukabana is also a Managing Consultant with Transport Links Ltd, a firm that advises on transport restructuring. Edwins is a member of the Board Human Resources and Strategy Committee.

Director



MR PATRICK OKOTH (39)

Mr. Okoth is an alternate director to Hon Amos Wako. He has an LLB degree from Nagpur University, India, postgraduate diploma from the Kenya School of Law and is an Advocate of the High Court of Kenya. He also has a Masters degree in International Studies from Nairobi University and a certificate from the National Defence College (Kenya) in National Security Strategy Studies. He is currently a State Counsel in the Treaties and Agreements Department in the Attorney General. As an alternate director, Mr. Okoth is a member of the Board Tender Committee.

Alternate Director



MRS EMILY K OTIENO (42)

Mrs. Otieno is the Company Secretary and the Secretary to the Board of Directors. She holds an LLB Degree from the University of Nairobi, a Post graduate Diploma in Legal studies from the Kenya School of Law and an Executive Diploma in Corporate Governance from Kenya College of Accountancy (KCA) University. She is a Certified Public Secretary of Kenya and an advocate of the High court of Kenya with a long experience as an in house-legal counsel. Prior to joining MSC she worked with the Lake Basin Development Authority as the Principal Legal Officer. Emily is a member of the Institute of Certified Public Secretaries of Kenya and the Law Society of Kenya.

Company Secretary



MRS SARAH JEPKEMBOI CHUMO SEREM (52)

Mrs. Serem joined the Board of Directors following the elections held during the Annual General Meeting of 3rd December 2010. She holds a Bachelor of Arts (Sociology and Political Science) and a Masters of Business Administration from the University of Nairobi. She is a member of the Institute of Human Resource Management (HRM) of Kenya and has over 28 years experience in HRM practice and other management undertakings. She is currently the Managing Director of YoungBiz, a multinational trading company that specializes in entrepreneurship business and financial literacy education. Sarah is a member of the Board Tender and the Board Human Resources and Strategy Committees.

Director



MR JAMES CHEGE (57)

Mr. Chege is an Accountant by profession and holds a Bachelor of Commerce degree from the University of Nairobi and an MBA from Cornell University, Ithaca USA. Prior to becoming the Head of Corporate Banking at Kenya Commercial Bank, Mr. Chege worked as the Managing Director of KCFC which is a wholly owned subsidiary of KCB. He is currently Director, Bank Restructuring and Privatization Project in the Ministry of Finance funded by the World Bank. He is the Chairman of the Board Audit Committee and a member of the Board Tender Committee.

Director



MR SAKWA J BUNYASI (65)

Mr. Sakwa hold a Doctoral Studies degree in Economics and Public Policy from George Washington University, a Master's of Science degree in Agricultural Economics from the University of Nairobi and a Bachelor of Arts degree in Economics from the University of Nairobi. He has a wealth of experience having worked for the World Bank in various capacities and retired as Lead Operations Officer, South Asia Region. His areas of expertise are public finance, loan negotiation and syndication. He is a member of the Board Audit Committee.

Director



MR JOHN MTUTA MRUTTU (56)

Mr. Mruttu is an engineer by profession and holds a Bachelor of Science degree in Mechanical Engineering from the University of Nairobi and an MBA from the same university. He is a member of the Institute of Mechanical Engineer - (UK) and a registered Chartered Engineer. He is currently the General Manager of Kenya Petroleum Refineries Ltd (KPRL). He has a wide experience in various fields of engineering and is a member of the Board Tender Committee.

Director



Chairman's Statement



John V Bosse
Chairman

On behalf of the entire Board of Directors, I am pleased to present to you the Fortieth Annual Report on the business and operations of the company and financial results for the year ended 30th June, 2011.

Your Company marks forty years of operation since its incorporation and ten years of listing on the Nairobi Securities Exchange. The forty years of operation has seen the company transform from a purely state corporation to the robust public listed company that it is today. I wish to thank you for the continued confidence/support you have accorded the Board and management during all this time.

The operating environment is increasingly becoming challenging not only for your company but for the general national and global economy.

While steering your company to surmount some of these challenges, the Board retains its primary responsibility of ensuring that the performance of the company remains positive in order to deliver value to all stakeholders. The Board has endeavoured to exercise leadership, enterprise, integrity and good judgement in directing the operations of your business in order to ensure survival beyond the current challenges.

Presented here below is the performance of your company during the year ended 30th June 2011.

FINANCIAL RESULTS

The financial results for the year ended 30 June 2011 are encouraging in view of the trading environment in the year. The company made a profit before tax of Shs 2,647 million. This was an increase of 21% over the previous year's profit before tax of Shs 2,180 million.

OPERATIONS

Consistency in the supply of good quality cane poses the greatest challenge in the operations of the company. A total of 2,245,281 tonnes of sugarcane were processed compared to 2,318,080 tonnes in 2010, representing a 3 % drop. This was mainly due to a decline in cane availability arising from intermittent dry spells experienced in 2009 which affected our crop coupled with increased cane poaching in our zone.

In order to mitigate the cane supply risk, the company is setting up additional cane buying centres in various parts of the cane zone to enable easier sugar cane collection from the fields, minimize in-transit losses, reduce poaching of cane by its competitors and improve farmers' earnings through reduced transport costs.

In the period under review, the company produced a total of 235,812 tonnes of sugar compared to 235,792 tonnes in the year 2010. The factory efficiency was higher and this enabled more sugar to be recovered despite the slight decline in the cane supply. The efficiency of the factory during this period was attributable to the investments made in the modernization of the plant and specifically the recent refurbishment of boiler 3B.

REVENUE

Gross turnover was Shs 18,813 million compared to Shs 18,798 million in 2010. The company exported 15,000 tonnes of sugar to the European market in the year.

The cogeneration plant generated net revenue of Shs 353 million from sale of

power compared to Shs 320 million in 2010. This was attributed to investment in the energy balance project which was aimed at balancing the energy requirements for both the sugar and cogeneration plants in order to avail more power for export to the national grid.

CONTRIBUTION TO GOVERNMENT REVENUE

The company continues to be recognized as one of the top 25 contributors to the government exchequer in taxes from Value Added Tax (VAT), Sugar Development Levy (SDL) and other taxes. In the financial year under review, the company paid over Shs 2.8 billion in VAT, SDL and other taxes to the government compared to Shs 3.1 billion in 2010. This demonstrates the company's commitment to discharging its statutory and regulatory obligations.

PROFIT AFTER TAX AND EARNINGS PER SHARE (EPS)

Profit after Tax (PAT) rose to Shs 1,933 million from Shs 1,572 million in 2010, representing a 23% increase. Earnings Per Share (EPS) at Shs 1.26 was better than the Shs 1.03 in the year 2010.

DIVIDENDS

The Directors propose a first and final dividend of 25% per ordinary share of Shs 2.00 each which is Shs 0.50 per share. The final dividend will be paid to shareholders who were on the register as at the close of business on 4 November 2011.

The Final Proposed Dividend is accounted for as part of equity until it has been ratified at the Annual General Meeting (AGM) scheduled to be held on 2 December 2011.

OUTLOOK

Sugar Industry

At the end of the financial year the world sugar prices were in the region of USD 700 – USD 800 per tonne due to supply constraints that have persisted in the major sugar producing countries for the last three years.

The shortage has seen unprecedented high

Chairman's Statement (cont'd)

sugar prices both locally and globally. The region is experiencing higher sugar prices attributed to production /consumption deficit. There are expectations of relatively high sugar prices in the medium term driven by increased demand with the supply from local millers not being able to meet the requirement. However, the impact will depend on the availability of surplus sugar in the COMESA member states and global prices since most of the region's surplus stocks are released to the better paying markets in the other parts of the world.

The company's product diversification strategies combined with cost reduction initiatives are expected to shield the company from competitive pressure. The emergence of new factories has resulted in an unprecedented cane shortage as all these factories continue to compete for the ever decreasing area under cane. This has put a constraint on the availability of adequate supply of cane due to the close proximity of the factories. This will result in challenges to operate at full capacity.

The company continues to expand its product range to minimize over reliance on sugar only.

Ethanol distillery

Construction of the ethanol distillery is in progress and is expected to be commissioned in early 2012. The distillery will have the capacity to produce 22 million litres of ethanol annually. The project is undergoing registration by the United Nations Framework



Convention on Climate Change as a Clean Development Mechanism (CDM) Project. Management is working on establishing strategic partnerships that will enhance the sale of the product.

Co-generation

The co-generation plant for electricity performed below expectation due to challenges of availing constant flow of bagasse (a by-product of sugar cane processing which is used as fuel) from the sugar plant. The Board mandated Management to undertake a complete refurbishment of the major sugar plant boilers (Boiler 3B) in order to raise its efficiency and thus save on bagasse consumption.

Water Bottling Plant

The water bottling plant is under construction

and is expected to be commissioned in early 2012. The company is in the process of evaluating the marketing and distribution challenges that go with the new product. It is anticipated that the introduction of water will provide another revenue stream to the Company as part of product diversification.

Future outlook

Product diversification will be a key growth driver and other opportunities are being explored. Possible acquisitions and greenfield operations are being reviewed and will be implemented where viable as part of enhancing shareholder value.

The company has a long term credit rating of A+ and short term credit rating of A1 by Global Credit Rating (GCR) Co. This underscores the capacity of the company to raise funds for its planned major expansions especially through acquisitions and greenfield operations.

The Board of Directors will continually review the various business strategies in place to ensure sustained business profitability and growth. The Board is cautiously optimistic of a satisfactory performance in the coming financial year.

Thank you.

John V Bosse
Chairman



MUMIAS SUGAR
COMPANY LIMITED

Ripoti ya Mwenyekiti



John V Bosse
Mwenyekiti

Kwa niaba ya Halmashauri nzima ya Wakurugenzi, ninafuraha kuwaletia ripoti ya 40 ya mwaka kuhusu shughuli za kibiashara za kampuni na matokeo ya kifedha kwa kipindi cha mwaka uliomalizika Juni 30, 2011.

Kampuni yenu inatimiza miaka arobaini ya uendeshaji shughuli tangu ishirikishwe kama shirika na miaka kumi tangu iliposajiliwa katika soko la hisa la Nairobi. Kwa muda wa miaka 40 ya utekelezaji shughuli zake, kampuni imeshuhudia mabadiliko, kutoka shirika la kiserikali na kuwa kampuni imara ya umma kama ilivyo kwa sasa. Ningependa kuwashukuru kutokana na imani na mchango wenu ambao mmekuwa mkiipa Halmashauri na usimamizi wakati wa kipindi hicho.

Mazingira ya utekelezaji shughuli za kibiashara yanazidi kukabiliana na changamoto nyingi sio tu kwa kampuni yenu lakini kwa uchumi wa taifa na hata ulimwengu mzima kwa jumla.

Katika kuendesha kampuni kukabiliana na changamoto hizi, Halmashauri inadumisha wajibu wake wa kimsingi wa kuhakikisha kwamba matokeo yake yanazidi kuwa thabiti ili kuleta thamani na matazamo mema kwa washika dau wote. Halmashauri imejitolea kutekeleza uongozi, uwekezaji, uadilifu na mwongozo mwema katika kuashiria shughuli za biashara yenu na kuhakikisha kwamba inazidi kujimudu hata baada ya changamoto zilizoko sasa.

Yafuatayo ni matokeo ya kampuni yenu kwa

kipindi cha mwaka uliomalizika Juni 30, 2011.

MATOKEO YA KIFEDHA

Matokeo ya kifedha kwa kipindi cha mwaka uliomalizika Juni 30, 2011 ni ya kutia moyo ikizingatiwa mtazamo wa mazingira ya kibiashara mwaka huu. Kampuni ilipata faida ya Shilingi milioni 2,647 kabla ya kutozwa ushuru. Faida hii ilikuwa ni ongezeko la asilimia 21 (21%) ikilinganishwa na mwaka uliotangulia ambapo faida kabla ya ushuru ilikuwa Shilingi milioni 2,180.

SHUGHULI

Kusitishwa mara kwa mara kwa uwasilishaji wa miwa ni changamoto kubwa kwa shughuli za kampuni. Jumla ya tani 2,245,281 za miwa zilisagwa ikilinganishwa na tani 2,318,080 mwaka 2010 na kuwakilisha punguko la asilimia 3 (3%). Pengo hili lilitokana hasa na kupungua kwa miwa kulikosababishwa na hali ya ukame iliyoshuhudiwa mwaka 2009 ambao uliathiri mimea yetu na kuchangiwa zaidi na uviziaji wa miwa katika kanda yetu.

Ili kukabiliana na hatari ya upungufu wa miwa, kampuni inakusudia kufungua vituo zaidi vya ununuzi katika maeneo mbali mbali ya ukuzaji na kurahisisha ukusanyaji wa zao hili kutoka mashambani, kuthibiti hasara wakati wa usafirishaji, kupunguza uviziaji wa miwa kutoka kwa washindani wake na kuimarisha mapato ya wakulima kupitia uthibiti wa gharama za usafirishaji.

Wakati wa kipindi kinachoangaziwa, kampuni ilizalisha jumla ya tani 235,812 za sukari ikilinganishwa na tani 235,792 mwaka 2010. Shughuli za utendaji kazi kiwandani zilikuwa za juu na kupelekea sukari zaidi kupatikana licha ya upungufu mdogo wa miwa. Utendaji bora wa kazi wa kiwanda wakati wa kipindi hiki ulichangiwa na uwekezaji uliofanywa kuimarisha hali yake na kuwa ya kisasa na hasa ukarabati wa hivi majuzi wa mtambo wa kuchemsha maji (boiler 3B).

MAPATO

Jumla ya mapato ilikuwa shilingi milioni 18,813 ikilinganishwa na shilingi milioni 18,798 mwaka 2010. Kampuni iliua tani 15,000 za sukari katika soko la Mataifa ya Ulaya mwaka unaangaziwa.

Mradi wa uzalishaji kawi kwa pamoja

uliiletea kampuni mapato ya shilingi milioni 353 kutokana na uuzaji wa nguvu za umeme ikilinganishwa na shilingi milioni 320 mwaka 2010. Hii ilitokana na uwekezaji mradi wa usawazishaji kawi ambao madhumuni yake yalikuwa ni kusawazisha mahitaji ya nguvu za umeme katika kiwanda cha miwa na kile cha uzalishaji pamoja wa kawi ili kuuza kawi ya ziada kwenye mtandao wa kueneza umeme nchini.

MCHANGO KATIKA MAPATO YA SERIKALI

Kampuni inazidi kuwa mchangiaji mkubwa kwenye mfuko wa hazina ya serikali kupitia ushuru wa ziada (VAT), ushuru kwa maendeleo ya kilimo cha miwa (SDL) na ushuru mwingine. Wakati wa kipindi hiki cha matumizi ya pesa kinachoangaziwa, kampuni ililipa zaidi ya shilingi bilioni 2.8 kama Ushuru wa ziada (VAT), ushuru kwa maendeleo ya kilimo cha miwa (SDL) na ushuru mwingine kwa serikali ikilinganishwa na shilingi bilioni 3.1 mwaka 2010. Hii inadhihirisha kujitolea kwa kampuni kufuata kanuni na sheria.

FAIDA BAADA YA USHURU NA MALIPO KWA KILA HISA

Faida kabla ya ushuru ilikuwa Shilingi milioni 1,933 ikilinganishwa na Shilingi milioni 1,572 mwaka 2010 na kuwakilisha ongezeko la asilimia 23 (23%). Malipo kwa kila hisa (EPS) ya Shilingi 1.26 yalikuwa bora kuliko Shilingi 1.03 mwaka 2010.

MGAWO WA FAIDA

Wakurugenzi wanapendekeza mgawo wa kwanza na wa mwisho wa asilimia 25 (25%) kwa kila hisa ya kawaida ya shilingi 2.00 kila moja ambao ni shilingi 0.50 (senti 50) kwa kila hisa. Malipo ya mwisho ya mgawo wa faida yatalipwa wanahisa ambao majina yao yalikuwa kwenye sajili ya wanahisa kufikia siku ya kufungwa kwa shughuli za biashara mnamo Novemba 4, 2011. Mgawo wa mwisho wa faida uliopendekezwa umewekwa kama sehemu ya mtaji hadi utakapopitishwa wakati wa mkutano wa pamoja wa mwaka (AGM) ambao umepangwa kufanyika Desemba 2, 2011.

MTAZAMO WA SIKU ZA USONI

BIASHARA YA SUKARI

Wakati wa mwisho wa kipindi cha mwaka wa

Ripoti ya Mwenyekiti (kuendelea)

matumizi ya pesa, bei ya sukari ulimwenguni ilikuwa baina ya Dola za Marekani 700 na 800 kwa kila tani ya sukari kutokana na matatizo ya uzalishaji ambayo yamekuwa yakiendelea katika mataifa makubwa yanayozalisha sukari kwa muda wa miaka mitatu.

Upungufu huu umeshuhudia kupanda zaidi kwa bei za sukari nchini na ulimwengu mzima kwa jumla. Kanda hii inashuhudia ongezeko la juu la bei za sukari kutokana na pengo la uzalishaji na matumizi. Kuna matarajio ya kuongezeka kiasi kwa bei za sukari kwa kipindi cha wastani kutokana na kuongezeka kwa mahitaji huku uzalishaji wa bidhaa hii kutoka kwa wasagaji wa humu nchini ukikosa kukidhi mahitaji yake. Hata hivyo, athari hizi zitategemea upatikanaji wa sukari ya ziada kutoka mataifa wanachama wa mkataba wa COMESA na kushuka kwa bei za kimataifa kwani hifadhi ya ziada ya sukari kutoka eneo hili inauzwa katika masoko yaliyo na bei nafuu maeneo mengine ya dunia.

Mkakati wa kampuni wa upanuzi wa bidhaa ukijumuisha na mbinu za upunguzaji gharama unatarajiwa kuulinda kutokana na shinikizo la ushindani. Kuchipuka kwa viwanda vipya kumepelekea kuibuka kusikotarajiwa kwa upungufu wa miwa kwani viwanda hivi vyote vinaendelea kung'ang'ania maeneo yanayoendelea kupungua ya uzalishaji miwa. Hali hii imeleta kikwazo kwa upatikanaji wa miwa ya kutosha kutokana na viwanda kuwa karibu. Hali hii itatoa changamoto za utekelezaji shughuli kikamilifu.

Kampuni inazidi kupanua aina ya bidhaa zake kama mbinu ya kupunguza utegemeaji wa sukari pekee kwa mauzo.



UTENGENEZAJI WA "ETHANOL"

Ujenzi wa kiwanda cha "ethanol" unaendelea na kinatarajiwa kufunguliwa mapema mwaka 2012. Kiwanda kitakuwa na uwezo wa kuzalisha lita milioni 22 za "ethanol" kila mwaka. Shughuli za usajili wa mradi zinaendelea katika mradi wa Umoja wa Mataifa wa makubaliano kuhusu mabadiliko ya hali ya hewa kama mradi wa mbinu ya maendeleo ya usafi (CDM). Usimamizi unaendelea kubuni ushirikiano ambao utamahasisha uuzaji wa bidhaa.

MRADI WA UZALISHAJI KAWI KWA PAMOJA

Kiwanda cha uzalishaji kawi kwa pamoja kilitekeleza shughuli zake chini ya kiwango kilichotarajiwa kutokana na changamoto za upatikanaji mara zote wa bidhaa inayotokana na mabaki ya miwa iliyosagwa ambayo hutumika kama kawi kutoka kiwanda cha sukari. Halmashauri ilipatia usimamizi jukumu la kukamilisha ukarabati wa mitambo mikubwa ya kuchemsha (Boiler 3B) ili kuimarisha utendaji wake na hivyo

kupunguza matumizi ya mabaki yanayotokana na miwa iliyosagwa.

KIWANDA CHA KUPAKIA MAJI

Shughuli za ujenzi wa kiwanda cha maji zingali zinaendelea na kiwanda kinatarajiwa kufunguliwa mwanzoni mwa mwaka 2012. Kampuni iko kwenye hatua za kutathmini changamoto za uvumishaji na usambazaji ambazo zinakabili bidhaa hii. Inatarajiwa uzalishaji wa maji utatoa njia nyingine ya kupata mapato kama sehemu moja ya upanuzi wa bidhaa zake.

MTAZAMO WA SIKU ZA USONI

Upanuzi wa bidhaa utakuwa kigezo kikubwa cha ukuaji huku mbinu nyingine zikizidi kuvumbuliwa. Uwezekano wa umiliki wa shughuli za mashamba makubwa ya upanzi zinaendelea kutathminiwa na zitazinduliwa pale patakapowezekeana kama sehemu moja ya kuhamasisha thamani ya wanahisa. Kampuni imeorodheshwa katika daraja la muda mrefu la kiwango cha A+ na daraja la muda mfupi la A1 na kampuni ya Global Credit Rating Co. Hili linatilia mkazo uwezo wa kampuni kuinua mtaji kwa mipango yake mikubwa ya upanuzi kupitia umiliki na shughuli za mashamba makubwa ya ukuzaji.

Halmashauri ya wakurugenzi itazidi kufanyia tathmini mikakati mbali mbali ya kibiashara iliyoko ili kuhakikisha uthibiti wa biashara na ukuaji. Halmashauri inatumaini yenye tahadhari ya kuwepo kwa matokeo ya kufana katika kipindi cha biashara kinachokuja.

Asanteni

John V Bosse
Mwenyekiti

MUMIAS SUGAR
COMPANY LIMITED

Management Team



MR EVANS KIDERO
Managing Director



MR PETER KEBATI
Finance Director



MR PAUL MURGOR
Director of Agriculture



MR WESLEY KOECH
Director of Information
Communication Technology



MR PETER HONGO
Director of Sales &
Distribution



MR HUMPHREY MUSUMBA
Chief Internal Auditor



MR JONAH OMUYOMA
Director of Factory
Operations



MRS EMILY K OTIENO
Company Secretary &
Director of Legal Affairs



MRS PAMELA LUTTA
Director of Marketing &
Corporate Affairs



MR STEPHEN OLIEKA
Director of Human
Resources

Managing Director's Statement



Dr Evans Kidero
Managing Director

Our esteemed shareholders;

It pleases me to present to you the details of the company's operations for the period ended 30th June 2011.

ECONOMIC REVIEW AND OUTLOOK

The global economy expanded more robustly in 2010 and real GDP expanded 4.6% against a contraction of 1% in 2009. Emerging economies saw more conspicuous growth and continue to prove themselves as key players in the global economic arena.

The Kenyan economy expanded at a rate of 5.6% in 2010 against a 2.6% in 2009. Sufficient rains kept a ceiling on food prices in the major part of 2010. Interest rates were brought lower and this boosted the performance of the economy. However, these impressive trends may not be witnessed in the year 2011 with the Central Bank raising the interest rates in a bid to arrest the runaway inflation and depreciation of the Kenya Shilling against major world currencies.

Agriculture saw 6.3% real growth versus a contraction of 2.6% in 2009 supported by favourable weather and increase in area

under irrigation while manufacturing grew 4.4% versus a marginal growth of 1.3% in 2009. Other sectors also performed well; electricity and water supply registered significant growth at 9.9% while mining and quarrying and financial intermediation registered 9.8% and 8.8% respectively.

Inflation has been consistently rising for the major part of the year. This has been driven mainly by rising fuel costs fuelled by political unrest in Northern Africa and the rising costs of basic food commodities, electricity and other cooking fuels.

The Nairobi Securities Exchange recovered by 30% in early 2010 and was the second best performer in Sub Saharan Africa after Uganda. The Kenya shilling weakened against all major world currencies but registered mixed performance against the East African currencies.

The budget for the fiscal year 2011/12 re-emphasized the expansionary fiscal program aimed at laying the foundation for robust economic growth. An impressive 56% of the development budget is earmarked for infrastructure which is expected to support economic growth in the medium term. This is expected to sustain the rising demand of goods and services.

Demand for sugar within the Kenyan market continued to rise year on year. Demand currently stands at approximately 800,000 Metric Tonnes (MT). The joint production of all the local millers of 550,000MT is not enough to meet the local sugar demand. The deficit is met by imports from COMESA and Non-COMESA countries. However, with the regional and global markets experiencing deficits it is unlikely that there will be sufficient imports to cover the local deficit. As a result, sugar prices are expected to remain high.

The current high prices mirror the international prices and the acute shortage of cane that has reduced the output and the situation is unlikely to improve soon. The most common reason cited for the current global supply shortage is the

weather problems in Mexico, Australia and, most importantly, in Brazil, the world's top producer.

The world market has a 15 million tonne sugar deficit putting pressure on the sugar prices in the international market which has been made worse by increased use of sugar for production of bio-fuels and increasing sugar demand in emerging economies. The situation is so bad right now that the International Sugar Organization announced that even with a good 2011/12 harvest, sugar stocks will not return to levels considered "healthy."

Future Outlook

The economic outlook for 2011 is fairly promising with GDP projected to grow between 3.5% and 4.5%. This will be lower than 2010 due to the yet to be contained inflation and depreciation of the Kenya Shilling. The twin factors raise the cost of production and lower business competitiveness and disposable incomes for households. The approaching general election under a new constitutional order also has the potential to divert resources from the productive sectors of the economy.

However, a combination of trends could contribute to ensure positive prospects in the short to medium term. The approval of the new constitution one year ago, continued investment in infrastructure and government policies targeting development in the private sector should all enhance Kenya's business environment and reinforce a dynamic private sector.

The deepening regional integration and the launch of the East African Community common market are creating a single trading and investment environment in which Kenyan firms will have access to a larger market.

Prudent monetary and fiscal policy is expected to tame the rising inflation and bring down the interest rates, creating a credible and stable macroeconomic environment. The government efforts to stem the depreciation of the Kenya shilling

Managing Director's Statement (cont'd)



against major world currencies is expected to lower cost of production and enhance the competitiveness and profitability of local businesses.

The sugar subsector is expected to sustain its fair performance despite the general business operating environment facing supply chain and other challenges. The company continues to feel the effect of high input costs driven by inflation and shortage of cane available for crushing. However, the better selling prices prevailing in the local and regional markets are expected to sustain the performance of the company.

The company is keen on diversifying its product range and exploiting internal synergies to boost its growth. Ethanol distillation and water bottling projects are on course and are scheduled to begin commercial operations in the second half of the 2011/12 financial year.

AGRICULTURE OPERATIONS

The first half of the financial year 2010/11 witnessed more rainfall than normal. The second half experienced a severe moisture deficit in the month of January, February up to mid April which negatively affected cane growth. Rains began in mid March 2011 which enabled planting of lowland fields. A total of 2,072.4 mm rainfall was received in the zone during the financial year 2010/11

against a Long Term Mean (LTM) of 2,022 mm indicating 50.4 mm of more rain.

Cane deliveries during the financial period were not met due to factors such as wet weather i.e. heavy rains from end of March 2011 to June 2011 and depressed cane availability especially in the month of June 2011.

Cane yields during the period stood at 65 Tonnes of Cane per Hectare (TCH) for both the Nucleus Estate and the outgrower farms. Area under outgrower farms cane increased to 58,580.49 hectares in 2010/11 from 55,543 hectares in 2009/10. This is due to intensified rehabilitation of abandoned fields and new land development in Northern II, Western II and Busia areas.

Cane fires were a big challenge during the period with January 2011 to March 2011 being the most affected. A total of 1,296.89 hectares were burnt down during the financial year. This was quite high compared to previous year (2009/10) where 1,041.32 hectares were burnt.

Electronic payment of cane cutters using the mobile phone money transfer platforms was adopted and implemented smoothly. A total of 11,473 cane cutters were registered and are currently being paid electronically. This has reduced the high risks that accompany bulk cash handling.

In order to mitigate the current cane shortage and the ever rising transport costs to farmers, the company established a cane buying centre at Kisoko in Nambale which became operational at the beginning of October 2010. This will allow the company to access contracted cane in far flung fields.

Management is looking at other possible areas within its cane belt where similar centres will be constructed. The company has already managed to acquire land for this purpose in Bumula and Bukheri areas.

In the financial year, cane supplied to the factory was 2,245,281 tonnes against a budget of 2,300,000 tonnes of cane. On cane quality; extraneous matter was 2.36% against budget of 3.00% and staleness index stood at 2.19 days against budget figure of 2.00 days.

Cane poaching remains a major challenge to sustainable cane availability. A total of 570 hectares with an approximate yield of 37,050 tonnes of sugar cane were poached in the year. This is majorly attributable to licensing of more mills without emphasis on proper cane establishment.

Land preparation targets were surpassed on plough, harrow and furrow. This is as a result of availability of land preparation units. A total of 13,082.71 hectares were ploughed, 11,083.95 hectares were harrowed and 11,042.14 hectares were furrowed.

The area budgeted to be planted during the financial year was not achieved due to prolonged dry spell from January 2011 to mid March 2011. Total area planted during the period was 11,638.92 hectares. Fertilizer stocks were adequate during the period 2010/11 with 389,797 fifty kilogram bags of fertilizer supplied to the farmers in spite of the fertilizer price volatilities in the world market.

Farmer extension and training meetings were carried out throughout the cane zone with the objective of educating the farmers on improving sugar cane production.

Managing Director's Statement (cont'd)

FACTORY OPERATIONS

The factory was shut down for the annual maintenance on 8th July, 2010 and resumed operations on 27th July, 2010. The startup was smooth although plant efficiency was initially affected by a shredder turbine breakdown and later by low cane supply.

All the cane supplied 2,245,281 tonnes was crushed and 235,812 tonnes of sugar were produced and 86,717 Mega Watt Hours (MWH) of power exported to the national grid.

Factory recoveries were above budget with overall recovery of 84.62% against a budget of 83.50%. The pol% in cane was 12.38% against expected pol% of 12.74%.

SALES PERFORMANCE AND REVENUE

During the year under review, a total of 236,182 tonnes of sugar was sold against a budget 270,000 tonnes. Branded sugar proportion was 26% of the total sales against a target of 40%.

The average net selling price of Shs 64,321 per tone was achieved against a budget of Shs 65,000. The market prices were lower in the first half when most millers were waging price wars forcing the prices of bulk sugar to go down to approximately Shs 3,300 per 50kg bag. However, in the second half of the year sugar prices went up to approximately Shs. 5,000 per 50kg driven up by depressed supply of cane and the regional sugar supply deficit.

During the year the company exported 15,000 tonnes of sugar at a price of £561 per tonne to the European Union. However, the company did not manage to complete orders of upto 30,000 tonnes due to lower production.

A total of 78,321 tonnes of molasses was sold at an average net price of Shs 3,192 per tonne, generating net revenue of Shs 250 million.

The distribution cost per tonne of sugar averaged Shs 3,850 against the budget of Shs 3,600 per tonne. The rise was attributed to higher haulage rates caused by the high fuel prices and reduced axle loads.

MARKETING AND CORPORATE AFFAIRS

The company's brand health was sustained at approximately 85% awareness by investing and utilizing consumer engagement and brand public relations to sustain top of mind awareness. Focus on youth as primary targets to increase brand awareness was achieved through sponsorship of events and youth engagement programmes.

Main events utilized during the year to sustain brand equity were:

- Consumer research in order to develop strategy for new brand communication campaigns.
- Title sponsorship of Kenya Music Festival and Kenya National Drama Festivals
- Utamu Halisi sponsorship where youths participated across nine cane growing districts. This increased brand visibility and positive corporate image in the community.

- The company engaged the youth and farming community in sports and activities which included afforestation, clean up exercises and life skills training sessions for the youth.

- Title sponsorship of AFC Leopards for increased brand visibility, consumer engagement and brand public relations

During the year new product extensions were introduced in the market; 25kg, 5kg and branded fortified sugar in both 2kg and 1kg packs. The consumer response to the new products has been positive.

CORPORATE SOCIAL RESPONSIBILITY

Corporate Social Responsibility (CSR) remains an integral part of operations of Mumias Sugar Company. The company's CSR activities were mainly around the key focus areas in the company's Corporate Social Responsibility charter.

The areas of focus are:

- health
- environment
- education
- water
- disaster management and
- youth talent development programs



Managing Director's Statement (cont'd)

Support towards better health

(i) MSC Sponsored Eye Camps

Five years ago, it was realised that one of the health challenges facing our local community was eye problems which affected the population across the board irrespective of gender or age.

The company undertook to support better health initiatives in alleviating this problem. The company partnered with Sabatia Eye Hospital.

The first eye camp was held at Mumias Sugar's Sports Complex in 2007 and every year thereafter at the same venue.

Unlike in the last four years where the practice was to hold one big camp, this year the eye camps were held in different areas in the zone. The camps were held in Bumula, Makunga, Khwisero, and Mumias Town. A total of 2889 patients were attended to during the clinics with 227 cases identified for corrective surgery which were all successfully done at Sabatia Eye Clinic. The camps were held in the period April 2011 to June 2011.

This was inspired by the company's

need to reach wider population amongst the farming community in our catchment area.

(ii) Support towards reduction of Micronutrient Deficiency in Kenya

Malnutrition is both a cause and consequence of Africa's devastating level of poverty, diseases and mortality. One-third of Kenya's child population is chronically malnourished, 76% of children aged below 5 years have vitamin A deficiency and malnutrition is a major underlying cause of most infant and child deaths.

Micronutrients or Vitamins and Minerals are essential for healthy growth and development in one's life. Vitamin A, iodine, iron, zinc and folate play pivotal roles in maintaining healthy and productive populations.

Food fortification which involves addition of vitamins and minerals to commonly consumed foods is therefore one of the strategies that has been embraced by Ministry of Public Health and Sanitation to address vitamin and mineral deficiencies.

The Ministry engages all sectors particularly the private sector and

consumers in ensuring that we have an effective food fortification program that is demand driven to reduce and totally eliminate micronutrient deficiency amongst our population.

In support of this worthy venture by the ministry and as part of its contribution to better nutrition in the country, the company started fortifying its sugar with vitamin A and launched it in June 2011.

Sugar has been proven to be one of the best vehicles of supplying micro-nutrients hence our conscious decision to fortify sugar and make the much needed contribution in alleviating Vitamin A Deficiency.

(iii) Other health support activities

On the national front, the company also contributed to various other health initiatives including Mater Heart Run, Operation Ear Drop, Gender Violence Recovery Centre, support to Nairobi Hospice and Medical Students Association activities.

Support towards environment

(i) Save Kakamega Forest Marathon

The company was the main sponsor of the Save Kakamega Forest Marathon which was held in June 2011 in conjunction with Masinde Muliro University and Kenya Wildlife Society. The marathon objectives were to raise awareness about Kakamega forest and the need for its protection, conservation and enhancement of biodiversity resources that the forest provides for the local community and world at large. All proceeds realised in the marathon went towards conservation activities in the forest.

(ii) Afforestation activities

MSC distributed approximately 70,000 tree seedlings to schools, youth



Managing Director's Statement (cont'd)

groups, faith based organisations, community based organisations and local authorities for planting. This was part of the company's efforts to involve the community in environmental conservation initiatives.

Other Environmental Conservation activities support went towards Rhino Ark Trust and August 7th Memorial Trust.

Support towards education

(i) Support to Schools Development Projects.

In the year the company contributed towards improvement of learning facilities in schools through fundraising activities in the sugar cane zone.

(ii) Contribution to ICT infrastructure in schools

The company donated 20 computers to St. Peters Boys High School. The school has a population of 1026 students and the computers will definitely be of benefit to the learners.

HUMAN CAPITAL MANAGEMENT

Total staff establishment as at 30th June 2011 was 1,804 employees comprising of 1,350 permanent and 454 contracted staff. The number remained fairly stable throughout the year.

There were a few changes in senior management position. Ms Maria K. Ligaga, who previously held the position of Head of Human Resources resigned from the Company in the second half of the year. Her position was taken over by Mr. Stephen Oyondi Olieka. Mr. Olieka previously held the position of Capability Development Manager. The company also hired Mr. Alffrey Mutia Kasalu in February 2011 as the Safety, Health and Environment Manager.

The Board made a decision to change senior management titles from Heads of



Departments to Directors of Departments. This in line with the expanded roles and accountability responsibilities bestowed upon the holders of the offices and the general market practice. It should be noted that such change does not elevate the executives to the position of non executive directors who represent the shareholders. The current team of non executive directors is as indicated on in the Management Team profile.

As part of succession planning the company recruited 35 Management Trainees. The Trainees have been attached to various departments to undergo two year training before they are absorbed by the Company.

The relationship between management and the union was very harmonious with the usual consultations on the Collective Bargaining Agreement (CBA) and welfare matters.

The company is also in the process of constructing a new office block. This will improve the working environment since the new building is located further away from the factory plant.

INFORMATION AND COMMUNICATIONS TECHNOLOGY

During the year under review, ICT continued to engage with the business process owners in order to identify and exploit opportunities

for employing technology solutions. Implementation of the following projects was completed:

- Kisoko Cane Buying Centre ICT infrastructure
- E-performance Management System
- Infrastructure for Nairobi Office Refurbishment
- Change and upgrade of Wide Area Network (WAN) and Internet links
- Network expansion (Mumias Campus)
- Vehicle Identification System (VIS) – for Cane Deliveries
- SAP Workflow Phase II
- High Availability Solution for Email and Network Services
- Cane Cutter Bulk Payment (on mobile-money platform)
- SAP Quality Management (QM) system
- Quality Assurance for SAP QM implementation
- Reconfiguration of SAP Fixed Asset module

The efficiency and effectiveness of the business operations expected to improve and the company will realize the value for money from the above projects.

LEGAL ISSUES AND DISPUTES RESOLUTION

The government has published the Sugar Amendment Bill, 2011. The Bill seeks to amend the Sugar Act 2001 in various aspects. It is important to note is that

Managing Director's Statement (cont'd)

most of the amendments have far reaching implications on the miller and may not serve the intended purpose of stabilizing the sugar sub sector.

The company is exploring options available to ensure that operational disputes are minimized and the interests of all the stakeholders are taken into consideration for the sustainable progress of the business.

The general internal legal controls are continuously evaluated and capacity of the legal department enhanced in order to timely and cost effectively mitigate against any legal exposure. The company is keen

on embracing alternative dispute resolution mechanisms as opposed to litigation in order to achieve speedy and amicable resolution of disputes.

CONCLUSION

The industry is generally experiencing unprecedented challenges. I wish on behalf of the management team to assure our shareholders that the management will harness all efforts to surmount the challenges. We know that it will not be easy and hence call upon our shareholders support and tolerance during this lean period.

Finally I wish to appreciate the entire staff of the Company for the tireless efforts and dedication in executing their responsibilities, our loyal suppliers and specifically our farmers, customers and the general public for having faith in our company and remaining loyal to our products and brand.

May God bless you all.

Thank you.

Dr Evans Kidero
Managing Director



Ripoti ya Meneja Mkurugenzi



Dr Evans Kidero
Meneja Mkurugenzi

Wanahisa wetu watukufu;

Nina furaha kuwaeleza kwa kina kuhusu shughuli za kampuni kwa kipindi cha mwaka uliomalizika Juni 30, 2011.

TATHMINI NA MTAZAMO KUHUSU UCHUMI

Uchumi wa dunia uliimarika haraka mwaka 2010 na mapato ya jumla ya kimataifa yakiimarika kwa asilimia 4.6 (4.6%) dhidi ya punguko la asilimia moja (1%) mwaka 2009. Chumi ibuka zilishuhudia ukuaji ulio onekana na kuendelea kujithibitisha kama washika dau maalumu katika jukwaa la kiuchumi duniani.

Uchumi wa Kenya uliimarika kwa kiwango cha asilimia 5.6 (5.6%) mwaka 2010 dhidi ya asilimia 2.6 (2.6%) mwaka 2009. Mvua ya kufaa ilitibiti bei za vyakula katika kipindi kikubwa cha mwaka wa 2010. Viwango vya riba vilishuka chini hali iliyosaidia matokeo bora ya uchumi. Hata hivyo, hali hii ya kuridhisha huenda isishuhudiwe mwaka wa 2011 kutokana na hatua ya Benki Kuu ya Kenya kuinua viwango vya riba kwa minajiri ya kupunguza mfumuko wa bei na kudorora kwa shilingi ya Kenya dhidi ya sarafu kuu duniani.

Sekta ya kilimo ilishuhudia ukuaji halisi wa asilimia 6.3 (6.3%) dhidi ya punguko la asilimia 2.6 (2.6%) mwaka 2009 kutokana na hali nzuri ya hewa na ongezeko la ardhi iliyo chini ya mradi wa unyunyizaji maji. Sekta ya viwanda iliimarika kwa asilimia 4.4 (4.4%) dhidi ya ukuaji wa asilimia 1.3 (1.3%) mwaka 2009. Sekta nyingine pia zilipata matokeo ya kufana; sekta za huduma ya kawi na maji ziliandikisha ukuaji wa asilimia 9.9 (9.9%) huku uchimbaji madini na machimbo ya mawe na shughuli za kifedha zikiandikisha ukuaji wa asilimia 9.8 (9.8%) na 8.8 (8.8%) mtawalia.

Mfumuko wa bei umekuwa ukipanda kwa kipindi kirefu cha mwaka. Hii imetokana na kupanda kwa bei za mafuta kutokana na ghasia za kisiasa eneo la Kaskazini mwa bara Afrika na pia kupanda kwa bei za vyakula vya kimsingi, umeme na kawi zingine za upishi.

Soko la hisa la Nairobi liliimarika kwa asilimia 30 (30%) mapema mwaka 2010 na lilikuwa la pili kwa utendaji bora eneo la Subsaharan Africa baada ya Uganda. Shilingi ya Kenya ilidhoofika dhidi ya sarafu kuu duniani lakini ikawa na matokeo tofauti tofauti dhidi ya sarafu za Afrika Mashariki.

Bajeti kwa kipindi cha mwaka 2011/12 ilitilika uzito mpango wa upanuzi ambao nia yake ni kuandaa msingi wa ukuaji wa haraka wa uchumi. Kiwango cha kuridhisha cha asilimia 56 (56%) cha bajeti kimetengewa miundo misingi ambayo inatarajiwa kusaidia ukuaji wa uchumi kwa muda wa kadri. Hii inatarajiwa kudumisha mahitaji yanayozidi kupanda ya bidhaa na huduma.

Mahitaji ya sukari katika soko la Kenya yalizidi kuongezeka mwaka baada ya mwaka. Mahitaji ya sasa ni takriban metriki tani 800,000. Uzalishaji wa pamoja wa sukari kutoka viwanda vya humu nchini wa metriki tani 550,000 hauwezi kukidhi mahitaji ya humu nchini. Pengo hili linajazwa na waagizaji kutoka mataifa wanachama na wasio wanachama wa mtaba wa COMESA. Hata hivyo, huku kukiwa na upungufu wa bidhaa hii katika masoko ya

kanda na ya kimataifa, kuna uwezekano kwamba hakutakuwa na uagizaji wa kutosha wa bidhaa hii kutoka mataifa ya nje kujaza pengo hili. Kwa sababu hiyo, bei za sukari zinatarajiwa kuendelea kuwa za juu.

Bei za sasa za juu zinatoa taswira ya bei za kimataifa na upungufu wa miwa ambao umepunguza uzalishaji wa sukari hali inayotarajiwa kutoimarika hivi karibuni. Sababu ambayo imetolewa na wengi kuhusu upungufu wa sasa duniani ni matatizo ya hali ya hewa katika mataifa ya Mexico, Australia na hasa katika taifa la Brazil linaloongoza duniani kwa uzalishaji wa bidhaa hii.

Soko la dunia lina upungufu wa metriki tani milioni 15 na kutoa shinikizo kali kwa bei za sukari katika soko la kimataifa hali ambayo imechochewa zaidi na kuongezeka kwa matumizi ya bidhaa hii kwa uzalishaji wa mafuta yanayotokana na mimea na kuongezeka kwa mahitaji ya sukari katika chumi ibuka. Hali hii ni mbaya sana wakati huu ambapo shirika la sukari ulimwenguni limetangaza kwamba hata kukiwa na mazao ya kufana kwa 2011/12, hazina ya sukari haitarejelea viwango vinavyoaminika kuwa "bora".

MTAZAMO WA SIKU ZA USONI

Mtaalamu wa uchumi mwaka 2011 unatoa ishara za kufurahisha huku kiwango cha ukuaji kikitarijiwa kuwa baina ya asilimia 3.5 (3.5%) na 4.5 (4.5%). Kiwango hiki kitakuwa cha chini ikilinganishwa na mwaka 2010 kutokana na mfumuko wa bei za bidhaa ambao haujathibitiwa na pia kudorora kwa shilingi ya Kenya. Hali hizi mbili zinafanya bei za uzalishaji kuwa za juu na kudhoofisha hali ya ushindani kibiashara na mapato ya jamii. Kukaribia kwa uchaguzi mkuu chini ya katiba mpya pia kunaweza kusababisha kupunguza kwa raslimali kutoka sekta zinazohamasisha ukuaji uchumi.

Hata hivyo, mchanganyiko wa hali unaweza kuchangia hakikisho la uwepo wa matarajio mema katika kipindi cha kifupi na cha kadri.

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Kupitishwa kwa katiba mpya mwaka mmoja uliopita, kuzidi kuweza kwa serikali katika miundo misingi na sera za serikali zinazolenga maendeleo katika sekta za kibinafsi lazima zihamasishe mazingira ya kibiashara nchini na kuongezea uthabiti sekta ya kibinafsi.

Ushirikiano thabiti wa kanda na kuzinduliwa kwa soko la pamoja la Jumuiya ya Afrika Mashariki kunaandaa mazingira ya pamoja ya biashara na uwekezaji ambapo mashirika ya Kenya yataweza kufikia masoko makubwa.

Sera taratibu za kifedha zinatarajiwa kuthibiti mfumuko unaopanda wa bei za bidhaa na kurudisha chini viwango vya riba na kuandaa mazingira bora na thabiti kwa chumi ndogo ndogo. Juhudi za serikali za kukabiliana na kushuka kwa thamani ya shilingi ya Kenya dhidi ya sarafu kuu za kigeni zinatarajiwa kupelekea kushuka kwa gharama za uzalishaji na kuhamasisha ushindani na faida kwa biashara za humu nchini.

Sekta ndogo ya sukari inatarajiwa kudumisha matokeo yake ya kadri licha ya mazingira ya jumla ya kibiashara yanayokabili mtandao wa mauzo na changamoto nyingine. Kampuni inazidi kuhisi shinikizo la bei za juu za pembejeo kutokana na mfumuko wa bei na upungufu wa miwa ya kusaga. Hata hivyo, bei nzuri za mauzo katika masoko

ya humu nchini na ya kanda zinatarajiwa kuthibiti matokeo ya kampuni.

Kampuni inazingatia kwa undani swala la kupanua bidhaa zake na kutumia uwezo wake kuimarisha ukuaji. Mradi wa uzalishaji "ethanol" na kiwanda cha kupakia maji inaendelea vyema na zinatarajiwa kuanza shughuli za kibiashara kipindi cha pili cha mwaka wa matumizi ya pesa cha 2011/12.

SHUGHULI ZA KILIMO

Kipindi cha kwanza cha mwaka wa kibiashara wa 2010/11 kilishuhudia mvua nyingi kuliko kawaida. Kipindi cha pili kilishuhudia kupungua unyevu nyevu miezi ya Januari, Februari hadi katikati mwa Aprili hali ambayo iliathiri ukuaji wa zao la miwa. Mvua zilianza kunyesha katikati mwa Machi 2011 hali iliyowezesha upandaji kwenye mashamba yaliyoko miinuko ya chini. Jumla ya kiwango cha milimita 2,072.4 cha mvua kilipokelewa kipindi cha matumizi ya pesa cha mwaka 2010/11 dhidi ya makadirio ya muda mrefu (Long Term Mean) ya milimita 2,022 za mvua na kuashiria kiwango cha ziada cha milimita 50.4.

Uwasilishaji wa miwa kwenye kiwanda kipindi hiki cha matumizi ya pesa haukufikia kiwango kilichohitajika kutokana na sababu mbali mbali kama vile hali ya unyevu iliyosababishwa na mvua nyingi kuanzia mwisho wa mwezi Machi 2011 hadi Juni

2011 na upatikanaji wa miwa chache hasa mwezi wa Juni 2011.

Mazao ya miwa kipindi hiki yalikuwa tani 65 kwa kila hekta katika mashamba ya Nucleus na ya wakulima wa kandarasi (Contracted Outgrowers). Eneo la mashamba ya wakuima wa kandarasi liliongezeka hadi hekta 58,580.49 mwaka 2010/11 kutoka hekta 55,543 mwaka 2009/10. Hii ilitokana na juhudi kubwa za kukarabati mashamba yaliyotelekezwa na ustawi wa mashamba mapya katika maeneo ya Northern II, Western II na Busia.

Visa vya moto vilikuwa changamoto kubwa huku kipindi cha miezi ya Januari 2011 hadi Machi 2011 kikiathirika pakubwa. Jumla ya hekta 1,296.89 za miwa ziliteketeka wakati wa kipindi hiki cha matumizi ya pesa. Kiwango hiki kilikuwa cha juu ikilinganishwa na mwaka uliotangulia (2009) ambapo hekta 1,041.32 za miwa ziliteketeka.

Malipo kwa wakataji miwa kupitia mfumo wa elektroniki wa simu ulizinduliwa na kuendelea vyema. Jumla ya wakataji miwa 11,473 walisajiliwa na kwa sasa wanaendelea kupokea malipo yao kupitia njia hii. Hali hii imepunguza kampuni hatari zinazotokana na ubebaji wa viwango vikubwa vya pesa.

Ili kukabiliana na hali ya sasa ya upungufu wa miwa na kuwapunguza wakulima gharama za uchukuzi zinazoendelea kupanda, kampuni ilizindua kituo cha ununuzi miwa huko Kisoko eneo la Nambale ambacho kilianza kutumika mwezi Oktoba mwaka 2010. Hali hii itaiwezesha kampuni kufikia zao la miwa kwenye mashamba yaliyo mbali.

Usimamizi unatafuta maeneo mengine yaliyoko eneo lake la ukuzaji miwa ambapo vituo kama hivi vinaweza kujengwa. Tayari, usimamizi umeweza kupata ardhi katika maeneo ya Bumula na Bukheri.

Wakati wa kipindi hiki cha matumizi ya pesa, miwa iliyowasilishwa kiwandani ilikuwa tani 2,245,281 dhidi ya bajeti ya tani

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2,300,000. Viwango vya uchafu vilikuwa asilimia 2.36 (2.36%) dhidi ya makisio ya asilimia 3 (3%) ishara za kuchacha zikisimamia siku 2.19 dhidi ya makadirio ya siku 2.00.

Visa vya uvizaji wa miwa bado ni changamoto kwa uthibiti na upatikanaji wa wake. Jumla ya hekta 570 zenye uwezo wa kadri wa uzalishaji sukari wa tani 37,050 ziliviziwa kipindi hiki cha mwaka. Hii inatokana hasa na usajili wa wasagaji wengi wa miwa bila kuzingatia kikamilifu upatikanaji wa miwa.

Viwango vya matayarisho ya mashamba vilifikwa katika ulimaji, utandazaji, na uchimbaji mitaro. Hii ilitokana na uwepo wa vifaa vya kutayarishaji mashamba. Jumla ya hekta 13,082.71 zililimwa, hekta 11,083.93 zikatandazwa, na hekta 11,042.14 zikichimbwa mitaro.

Eneo lililokadiriwa kupandwa wakati wa kipindi hiki cha matumizi ya pesa halikuafikiwa kutokana na kipindi kirefu cha ukame baina ya miezi ya Januari na Machi 2011. Jumla ya eneo lililopandwa lilikuwa hekta 11,638.92. Hazina ya mbolea ya kupanda ilikuwa ya kutosha mwaka 2010/11. Magunia 389,797 ya kilo hamsini ya mbolea yakitolewa kwa wakulima licha ya mabadiliko ya bei za mbolea katika soko la kimataifa.

Kuongezwa kwa mikutano ya utoaji mafunzo kwa wakulima ilifanywa kanda nzima inayokuza miwa ikiwa na lengo la kuwaelimisha wakulima jinsi ya kuimarisha uzalishaji wa zao la miwa

SHUGHULI ZA KIWANDA

Kiwanda kilifungwa kwa minajiri ya kufanyiwa ukarabati wa kila mwaka mnamo Julai 8, 2010 na kurejelea shughuli zake Julai 27, 2010. Kurejea kwake kulikuwa taratibu hata ingawa utekelezaji shughuli ulisitishwa kutokana na kuharibika kwa mtambo wa kukatakata miwa na hatimaye upokeaji duni wa miwa.

Jumla ya tani 2,245,281 za miwa zilisagwa huku tani 235,812 za sukari zikipatikana

na megawati 86,717 za nguvu za umeme kusambazwa kwenye mtandao wa kueneza umeme nchini.

Utendakazi wa mtambo uliimarika na kupita makadirio. Uliweza kutoa sukari kwa miwa kwa kiwango cha asilimia 84.62 (84.62%) dhidi ya bajeti ya asilimia 83.50 (83.50%). Kiwango cha sukari katika miwa (Pol%) kilikuwa asilimia 12.38 (12.38%) dhidi ya matarajio ya asilimia 12.74 (12.74%).

MATOKEO YA UUZAJI NA MAPATO

Wakati wa kipindi kinachoangaziwa, jumla ya tani 236,182 za sukari ziliuzwa dhidi ya makadirio ya tani 270,000. Uwiano baina ya sukari iliyo na alama ya kampuni ilikuwa asilimia 26 (26%) ya mauzo kwa jumla dhidi ya makadirio ya asilimia 40 (40%).

Kiwango cha wastani cha bei halisi ya mauzo ya shilingi 64,321 kwa kila tani kilipatikana dhidi ya makadirio ya shilingi 65,000. Bei ya masoko ilikuwa ya chini kipindi cha kwanza cha mwaka wakati wasagaji wengi wa miwa walipokuwa wakizozania bei na kusababisha bei ya viwango vikubwa vya sukari kushuka kwa takribani shilingi 3,300 kwa kila gunia. Hata hivyo, wakati wa kipindi cha pili cha mwaka, bei za sukari zilipanda juu karibu na shilingi 5,000 kutokana na upatikanaji duni wa miwa na kupungua kwa sukari katika kanda.

Wakati wa kipindi hiki cha mwaka, kampuni

iliuza nje tani 15,000 za sukari kwa bei ya Euro 561 kwa kila tani katika soko la Umoja wa Ulaya. Hata hivyo, kampuni haikuweza kukamilisha maombi ya hadi tani 30,000 kutokana na kushuka kwa uzalishaji.

Jumla ya tani 78,320 za molasi ziliuzwa kwa kiwango cha bei ya kadri ya shilingi 3,192 kwa kila tani na kupelekea kupatikana kwa mauzo ya shilingi milioni 250.

Gharama ya usambazaji wa sukari ilikuwa takriban shilingi 3,850 kwa tani dhidi ya makadirio ya shilingi 3,600 kwa tani. Kupanda huku kulitokana na viwango vya gharama za juu za usafirishaji vilivyotokana na bei za juu za mafuta na kupunguza uzani wa mizigo kwa magari makubwa ya uchukuzi.

WAJIBU WA KAMPUNI KWA JAMII

Wajibu wa Kampuni kwa Jamii (CSR) huwa sehemu munimu ya shughuli za kampuni ya Sukari ya Mumias. Shughuli za wajibu wa kampuni kwa jamii ziliangazia maeneo muhimu ya Mkataba wa Wajibu wa Kampuni kwa Jamii mbayo ni;

- Afya
- Mazingira
- Elimu
- Maji
- Usimamizi wamaafa au majanga na
- Mipango ya ustawishaji wa vipawa kwa vijana.



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Mchango kwa afya bora

(i) Kampi za macho zilizo fadhiliwa na Kampuni ya Sukari ya Mumias.

Miaka mitano iliyopita, ilifahamika kuwa, mojawapo wa changamoto zinazokabili afya ya jamii iliyokaribu na kampuni ni matatizo ya macho ambayo yanaathiri watu wote bila kujali jinsia au umri.

Kampuni ilijitwaa jukumu la kutoa msaada ili kuondoa shinda hii na ikashirikiana na hospitali ya matatizo ya macho ya Sabatia.

Kampi ya kwanza ya macho ilifanyika katika uwanja wa michezo Mumias Complex mwaka wa 2007 na kufuatiwa na zingine mwaka baada ya mwaka katika uwanja huo.

Kinyume na miaka miine hapo mbeleni, ambapodesturi ilikuwa ni kufanyika kampi moja tu kila mwaka, katika mwaka unaoangaziwa kampi za macho zilifanyika katika maeneo tofauti tofauti katika eneo linalokuzwa miwa. Kampi hizi ziliandaliwa maeneo ya Bumula, Makunga, Khwisero na Mumias mjini. Jumla ya wagonjwa 2889 wa macho walihudumiwa wakati wa kliniki hizi huku visa 227 vikiipendekesha kufanyiwa upasuaji ambao ulienedeshwa vyema katika hospitali ya macho ya Sabatia. Kampi hizi zilifanyika kati ya mwezi wa Aprili hadi Juni 2010.

Mpango huu ulichochea na haja nia kampuni kufikia idadi kubwa ya watu hasa jamii ya wakulima.

(ii) Mchango kwa upunguzaji wa ukosefu wa lishe bora nchini Kenya

Utapiamlo ni chanzo na pia matokeo ya hali ya umaskini mkubwa, maradhi na vifo. Theluthi tatu ya idadi ya watoto nchini Kenya imeathirika

vibaya kutokana na utapiamlo. Asilimia 76% ya watoto walio na umri wa chini ya miaka mitano wana upungufu wa madini ya Vitamini A huku utapiamlo ukiwa sababu kubwa inayosababisha vifo miongoni mwa watoto wachanga.

Chembechembe za virutubishi au vitamini na madini ni muhimu kwa ustawi wa afya na ukuaji mtu. Madini ya Vitamini A, iron, iodine, zinki na foleti hutekeleza jukumu kubwa kudumisha jamii iliyo na afya na thabiti.

Uimarishaji wa lishe kwa kuongeza vitamini na madini katika chakula kinachotumiwa sana ni mojawapo wa mikakati ambayo imehamasishwa na Wizara ya Afya ya Umma na Usafi wa Jamii (Ministry of Public Health and Sanitation) ili kushurigikia upungufu wa vitamini na madini.

Wizara inahusisha sekta zote hasa zile za kibnafi na watumiaji wa bidhaa ili kuhakikisha kwamba tuna mpango halisi wa uimarishaji chakula ambao utapunguza na kumaliza kabisa upungufu wa virutubishi miongoni mwa watu wetu.

Ilikuchangia mradi huu wa maana la wizara hii na kwa kuchangia lishe bora nchini, kampuni ya Sukari ya Mumias iliananza kutengeneza sukari iliyoimarishwa na vitamini A na

kuizindua mwezi wa Juni 2010. Sukari imethibitishwa kuwa mojawapo wa chombo bora cha kueneza chembe chembe za madini na ndipo kampuni ikaamua kuimarisha sukari yake ili kukabiliana na upungufu wa Vitamini A.

(iii) Michango mingine kwa afya

Katika ngazi ya kitaifa, kampuni ilitoa mchango wake kwenye mikakati mbali mbali ya afya ikiwemo mbio za Mater Heart Run, Operation Ear Drop, kituo cha kukabiliana na matatizo ya dhuluma za kijinsia (Gender Violence Recovery Centre), mchango kwa Nairobi Hospice na msaada kwa shughuli za ushirika wa wanafunzi wanaosomea matibabu (Medical Students Association).

Mchango kwa mazingira

(i) Mbio za Marathon za kuokoa msitu wa Kakamega

Ikishirikiana na Chuo Kikuu cha Maseno na Shirika la Wanyama Pori la Kenya (Kenya Wildlife Society), Kampuni ilikuwa mfadhili mkuu wa mbio za kuokoa msitu wa Kakamega zilizofanyika mwezi Juni, 2011. Malengo ya mbio hizi yalikuwa kuimarisha ufahamu kuhusu msitu wa Kakamega na haja ya kuulinda, kuutunza na kuhamasisha maliasili



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inayotokana na msitu huu kwa maslahi ya jamii ya wakazi wa eneo hili na ulimwengu kwa jumla.

Pesa zote zilizopatikana kutokana na mbio hizi zilitumiwa katika shughuli za kuhifadh msitu huo.

(ii) Shughuli za upanzi wa miti

Kampuni ya Sukari Mumias ilisambaza miche takriban 70,000 ya miti katika mashule, makundi ya vijana, mashirika ya kidini, mashirika ya kijamii na mabaraza ya serikali za wilaya. Hii ilikuwa sehemu mojawapo ya juhudi za kampuni kuhusisha jamii katika shughuli za uhifadhi wa mazingira.

Michango mingine katika shughuli za uhifadhi wa mazingira iliendelea wakfu wa Rhino Ark na wakfu wa Kumbukumu ya Agosti 7.

Mchango kwa elimu

i. Mchango kwa mradi wa maendeleo ya shule

Katika mwaka unaoangaziwa, kampuni ilitoa mchango wake wa kuboresha vifaa kwa kusomea katika mashule kupitia shughuli za ukusanyaji pesa katika kanda inayokuzwa miwa.

ii. Mchango wa muundo msingi wa Teknolojia ya Habari na mawasiliano kwa shule

Kampuni iliipa tarakilishi ishirini (20) Shule ya upili ya St. Peters Boys - Mumias. Shule hii ina idadi ya wanafunzi 1,026 na tarakilishi hizi zitawafaidi wanafunzi.

USIMAMIZI WA MASWALA YA WAFANYAKAZI

Idadi ya wafanyakazi kufikia Juni 30, 2011 ilikuwa 1,804 ikiwa ni wafanyakazi 1,350 wa kudumu na 454 wa kandarasi. Idadi hii imekuwa thabiti kipindi chote cha mwaka.



Kulikuwa na mabadiliko machache katika usimamizi wa nyadhifa za juu. Bi. Maria K. Ligaga ambaye awali alikuwa ameshikilia wadhifa wa mkuu wa idara ya maswala ya wafanyakazi alijiuzulu kutoka kampuni katika kipindi cha pili cha mwaka. Nafasi yake ilichukuliwa na Bw. Stephen Oyondi Olieka. Hapo awali Bw. Olieka alikuwa akishikilia wadhifa wa Meneja wa Uthibiti wa Utendakazi.

Pia, kampuni iliajiri Bw. Alfrey Mutia Kasalu mwezi wa Februari mwaka 2011 kama Meneja wa Usalama, Afya na Mazingira.

Halmashauri ilichukua uamuzi wa kubadilisha mataji ya maafisa wakuu wa usimamizi kutoka wakuu wa idara hadi wakurugenzi wa idara. Hii ni kumabatana na kupanuliwa kwa majukumu na uwajibikaji uliopewa wamiliki wa ofisi na pia kuzingatia mtindo wa jumla wa masoko.

Inafaa ifahamike kwamba, mabadiliko haya hayainui madaraka ya wasimamizi wa idara (wakurugenzi wa idara) hadi kiwango cha wakurugenzi ambao wanawaakilisha wanahisa. Timu ya sasa ya wakurugenzi wa idara imeonyeshwa kupitia maelezo mafupi ya timu ya wasimamizi kwingineko katika ripoti hii.

Kama sehemu ya mpango wa urithi, kampuni ilisajili maafisa 35 kama

wasimamizi wanafunzi kupokea mafunzo ya kikazi. Maafisa hawa wamewekwa idara mbali mbali kupokea mafunzo na baada ya miaka miwili wataajiriwa na kampuni.

Uhusiano baina ya usimamizi na maafisa wa chama kinachotetea maslahi ya wafanyakazi ulikuwa mzuri. Hii ilitokana na mashauriano ya kawaida ya makubaliano ya pamoja (CBA) na kuzingatiwa kwa maswala ya kimaslahi.

Pia, kampuni iko kwenye harakati za kujenga jengo mpwa la ofisi. Jengo hili litaimarisha mazingira ya utendaji kazi kwa vile litakuwa mbali na mitambo.

TEKNOLOJIA YA HABARI NA MAWASILIANO

Wakati wa kipindi kinachoangaziwa, kitengo cha teknolojia ya habari na mawasiliano kiliendelea kujihusisha na hatua za kibiashara ili kutambua na kutumia nafasi za matumizi ya mbinu za teknolojia. Uzinduzi wa miradi ifuatayo ulikamilika:

- Miundo msingi ya teknolojia ya kituo cha ununuzi miwa cha Kisoko
- Mfumo wa usimamizi kupitia teknolojia
- Miundo misingi ya teknolojia baada ya ukarabati wa ofisi ya Nairobi
- Kubadilisha na kuimarisha sura ya

Ripoti ya Meneja Mkurugenzi (Kuendelea)

mtandao pana wa mawasiliano ya ndani na kiungo cha mtandao.

- Upanuzi wa mtandao (Mumias Campus)
- Mfumo wa kutambua magari (VIS) ya usafirishaji wa miwa.
- Sehemu ya pili ya utendaji kazi kwa mtambo wa SAP
- Mfumo wa haraka wa huduma za barua pepe na mtandao
- Utoaji wa malipo makubwa kwa wakataji miwa (kupitia simu ya mkono)
- Mfumo wa hali ya juu wa matumizi ya SAP
- Uzinduzi wa uhakika kuhusu ubora kwa SAP
- Kupanga upya sura ya kifaa cha SAP

Shughuli za biashara zinatarajiwa kufana na kuleta manufaa huku kampuni ikipata thamani ya pesa zake kutokana na miradi iliyotajwa hapo juu.

MASWALA YA KISHERIA NA UTATUZI WA MIZOZO

Serikali imechapisha Mswada wa Kisheria wa Sukari wa Marekebisho wa 2011 (Sugar

Amendment Bill, 2011). Mswada huu unanua kufanyia marekebisho vipengele mbali mbali vya Sheria ya Sukari ya 2001 (Sugar Act 2001).

Ni muhimu kufahamu kwamba, mengi kati ya marekebisho yana athari nyingi kwa msagaji wa miwa na hayawezi kutimiza malengo yanayoniwa ya kudhibiti sekta ndogo ya sukari.

Kampuni inatafuta njia nyinginezo zilizoko kuhakikisha kwamba mizozo ya kibiashara inapunguzwa na maslahi ya washika dau wote yanazingatiwa kwa maendeleo thabiti ya biashara.

Mbinu za kawaida za kutatua mizozo ya ndani zinafanywa tathmini kila mara na uwezo wa idara ya kisheria unahamasishwa ili kupunguza kwa wakati unaofaa na kwa kuzingatia gharama, mizozo yoyote inayoweza kuibuka. Kampuni ina nia ya kutumia mbinu mbadala za utatuzi wa mizozo kinyume na kwenda mahakamani ili kupata suluhu za haraka na za kudumu.

HITIMISHO

Kwa ujumla, biashara ya sukari inakabiliwa na changamoto zisizotarajiwa. Kwa niaba ya timu ya usimamizi ningetaka kuwahakikishia wanahisa kwamba timu ya usimamizi itatumia juhudi zote kukabiliana na changamoto hizi. Tunatambua kwamba hili halitakuwa rahisi hiyo natoa mwito wa kuungwa mkono na uvumilivu wa wanahisa wetu wakati wa kipindi hiki.

Mwisho, ningependa kutambua maafisa wote wa kampuni kutokana na juhudi zao zisizo kifani na kujitolea kwao wakati wa utekelezaji wa majukumu yao, wanaotuuza bidhaa zao na hususan wakulima wetu, wateja na umma kwa jumla kwa kuamini kampuni yetu na kwa kuendelea kuwa waminifu kwa bidhaa na alama yetu.

Mungu awabariki nyote.

Asanteni

Dr Evans Kidero
Meneja Mkurugenzi



Corporate Governance Statement

The Company as a whole remains fully committed to ensuring that good corporate governance practices are upheld at all levels. The Board of Directors and senior management reaffirm their commitment to upholding accountability, transparency, efficiency, effectiveness, integrity and fairness in all their dealings. The key aspects of our approach to Corporate Governance are as follows: -

LEADERSHIP

The Board of Directors

The Board is the cornerstone of the company's governance framework, setting and communicating the purpose, objectives, culture and values of the company and demonstrating, both collectively and individually, the directors' commitment to the highest standards of governance.

The board is the senior decision-making forum in the company and its role includes responsibilities for entrepreneurial leadership, risk management, strategy formulation and monitoring, securing the necessary financial and human resources and performance review.

The Board has created a culture that allows the directors to demonstrate effective behaviours in their stewardship of the company and which demonstrates that it has the necessary governance policies, processes and systems in place, in order to generate ongoing trust and support among its shareholders and other stakeholders.

The Chairman of the Board

The Chairman is responsible for leadership of the Board and ensuring its effectiveness in all aspects of its role. In doing so, the Chairman is expected to uphold the highest standards of integrity and probity inside and outside the boardroom.

The Chairman plays the key leadership role in ensuring an effective board and managing the relationships between the directors. Under the stewardship of the Chairman, the executive and non-executive directors have developed and continuously maintain a relationship of mutual understanding that accommodates constructive challenge as an essential aspect of good governance.

The role of the Managing Director – Executive Director

The Managing Director is the Chief Executive Officer and as such is an executive director on the Board. The relationship between the Managing Director and the Chairman has remained cordial.

With the support of the executive team, the Managing Director carries the primary responsibility for communicating to all staff within the Company the expectations of the Board in relation to the Company's culture, values and behaviours, and for ensuring that the appropriate standards of governance are upheld at all levels of the organisation. The MD reports regularly to the Board on performance, governance, values and cultural issues in the business.

The MD, supported by the executive team and the Company Secretary, have consistently worked with the Chairman in ensuring that the Board has access to timely and appropriate information to enable informed discussions and deliberations to take place in the boardroom.

The executive directors, who are the senior managers, do not sit on the Board. However, they are expected to have a deeper understanding of the Company's operations and its capabilities when making proposals and exercising judgement, particularly on matters of strategy that are submitted to the Board for review and approval. The executive directors are expected to appreciate constructive challenge from non executive directors as an essential aspect of good governance.

The Non-executive Directors

The Board comprises of majority non-executive directors. Such directors are expected to constructively challenge and help develop proposals on strategy. The Board has an appropriate balance of skill, experience, independence and knowledge.

Non-executive directors are expected to make sufficient time available to discharge their responsibilities effectively. This involves being well-informed about the company, and having a strong command of issues relevant to the business. As part of the Board processes, a new non-executive director is expected to devote time to undergo a comprehensive, formal and tailored induction which is conducted at the company

Corporate Governance Statement (cont'd)

premises in order to ensure that non-executive directors meet the senior executives/managers in order to gain a deeper understanding of the business. The non executive directors are also expected to dedicate sufficient time to developing and updating their knowledge and skills by participating in ongoing training and development to ensure that their contribution to the Board remains informed and relevant.

Non-executive directors have a responsibility to uphold high standards of integrity and probity, and support the Chairman and executive directors in inculcating the appropriate culture, values and behaviours in the boardroom and beyond.

Because of the importance of the decision-making process, of the Board, non executive directors have a right to insist on accurate, clear, comprehensive and up-to-date information being provided sufficiently in advance to enable thorough consideration of the issues prior to Board and Committee meetings. Non-executive directors have the right to request, via the company secretary, any additional information that they may require.

BOARD EFFECTIVENESS

Board Processes

The Board is guided by an approved Board Charter. The Board also has clear and approved policies on which decisions need its approval, and the processes required for each type of decision. These policies are reviewed periodically for improvement.

In addition to clear policies, the decision-making process by the Board is facilitated by;

- ensuring directors are afforded time to prepare for meetings
- providing accurate, clear, comprehensive and up-to-date information on a timely basis
- allowing time for debate and challenge, especially for complex, contentious or critical issues to the business.
- providing expert opinions, insights and analysis from a range of sources, including the opportunities to interrogate such experts as appropriate
- providing the opportunities to debate issues with the relevant senior company executives as appropriate and
- seeking clarity from senior executives on the actions required.

For significant decisions the Board insists on including in the board papers a brief description of the process that has been used to arrive at and challenges to the proposal.

This allows directors not involved in the project to assess the appropriateness of the process as a precursor to assessing the merits of the project itself and where appropriate, putting in place additional safeguards aimed at reducing the risks arising from distorted judgements. Such safeguards may include commissioning an independent report, seeking expert advice, establishing a sole purpose sub-committee, and or additional meetings.

Board Committees

The Board has delegated part of its mandate to Board Committees. The Committees constitute an important aid to Board decision making process. The committees are given sufficient time to report back to the Board after their meetings and deliberations.

The company secretary has the responsibility of ensuring that Committee meeting minutes are made available to the Board as appropriate. The Board takes full responsibility for the work of its Committees and of their recommendations.

As part of ensuring continuous effectiveness, the Board has the prerogative of improving the effectiveness of Committees by clarifying and regularly reviewing the terms of reference of each Committee, the processes of interaction between each Committee and the Board and among the Committees, and the nature and content of discussions and follow-throughs.

Corporate Governance Statement (cont'd)

Executive Committee

The Executive Committee (Ex-Com) comprises of the Managing Director, Director of Factory Operations, Finance Director, Director of Sales & Distribution, Director of marketing and Corporate Affairs, Director of Human Resources, Director of ICT, Company Secretary/Director of Legal Affairs Director, and Director of Agriculture.

The day to day management of the Company is delegated to the Ex-Com, which is chaired by the Managing Director. It creates the framework of strategy, organization and key objectives to ensure the successful delivery of results. The Ex-Com is required to meet at least twice a month and additional meetings may be scheduled where necessary.

Board meetings

The Board is required to meet at least four times in a year. During the period under review, the Board held four meetings. The attendance was as indicated in the table below:

Name of the Director	Category	Board Meetings Attended
Mr. J Bosse	Non-Executive	4
Dr. E Kidero	Executive	4
Mr. J Chege	Non-Executive	4
Mr. K Gatabaki	Non-Executive	4
Mr. M Juma	Non-Executive	4
Mr. F Kigen	Non-Executive	4
Mr. E Mukabanah	Non-Executive	4
Mrs E Koimett	Non-Executive	4
Mr. J. Mruttu	Non-Executive	2
Mr. P. Okoth	Non-Executive	3
Mr. S. Bunyasi	Non-Executive	2
Ms. S. Serem	Non-Executive	2

Communicating with shareholders and other stakeholders

The Board recognizes that communicating to shareholders and other stakeholders on the steps the company is taking to strengthen its governance arrangements helps generate greater levels of trust and confidence.

In addition to making full use of the Company's website, the Annual Report and the audited Financial Statements is the single most important communication between the Company and its shareholders. While much of the content of the Annual Report is stipulated by regulation, the Board continues to use the Report to set out to shareholders and other stakeholders, a clearer picture of the Company's operations, its governance arrangements, information on overseeing of the delivery of its strategy and the key risks associated with its implementation, as well as other new developments witnessed during the financial year.

The Company is committed to maintaining an open and informative communication with all stakeholders through the Annual General Meeting, annual reports, financial statements, press releases and the corporate website.

During the AGM, shareholders have the opportunity to meet and raise queries on issues of their concern to the Board.

The Company Secretariat is responsible for all communications with the regulators mainly the Nairobi Securities Exchange (NSE) and Capital Markets Authority (CMA). This role includes responsibility for ensuring compliance with the continuous disclosure requirements stipulated by CMA.

Corporate Governance Statement (cont'd)

CONTROL ENVIRONMENT

Risk Assessment and Management

Recognizing that Risk is an inherent part of doing business, the company has designed an enterprise risk management programme which identifies, evaluates and monitors key risks while providing assurance that these are fully understood and managed. Identified risks are subject to regular reviews to ensure compliance with internal and external controls to mitigate the identified risks.

CONCLUSION

The directors are committed to meeting the highest standards of good corporate governance practice at Mumias Sugar Company Limited, and recognize that the subject of corporate governance is continually evolving. As such, the Board will periodically review its practices and work processes to ensure that appropriate and necessary improvements are made in a timely manner.



Report of the Directors

The directors present their report together with the audited financial statements of the company for the year ended 30 June 2011.

PRINCIPAL ACTIVITIES

The principal activities of the company are the production and sale of sugar and the generation and sale of electricity.

	Shs'000
RESULTS	
Profit before taxation	2,646,575
Taxation charge	(713,350)
Profit for the year	<u>1,933,225</u>

DIVIDENDS

The directors recommend a first and final dividend of Shs 0.50 per share (2010: Shs 0.40) totalling Shs 765 million (2010: Shs 612 million) in respect of the year.

PRODUCTION

The following are the comparative statistics of cane processed and sugar production for the last five years:

	Cane Processed (Tonnes)	Sugar production (Tonnes)
2011	2,245,281	235,812
2010	2,318,080	235,792
2009	2,161,031	231,014
2008	2,408,141	265,263
2007	<u>2,118,563</u>	<u>217,200</u>

DIRECTORS

The directors of the company for the year ended 30 June 2011 are listed on page 4.

Mr Caleb Wangia and Ms Grace Ngala retired on 3 December 2010 and were replaced by Mr Sakwa Bunyasi and Ms Sarah Serem on the same date.

AUDITORS

Deloitte & Touche, having expressed their willingness, continue in office in accordance with Section 159 (2) of the Kenyan Companies Act.

BY ORDER OF THE BOARD

Secretary
25th August 2011



Statement of Directors' Responsibilities

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the company as at the end of the financial year and of the operating results of the company for that year. It also requires the directors to ensure that the company keeps proper accounting records which disclose with reasonable accuracy at any time the financial position of the company. They are also responsible for safeguarding the assets of the company.

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, and for such internal controls as directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the company and of its operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company will not remain a going concern for at least the next twelve months from the date of this statement.



Director

25th August 2011



Director

Deloitte.

Deloitte & Touche
Certified Public Accountants (Kenya)
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Fax: +254 (20) 4448966
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INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF MUMIAS SUGAR COMPANY LIMITED

Report on the Financial Statements

We have audited the accompanying financial statements of Mumias Sugar Company Limited, set out on pages 34 to 76 which comprise the statement of financial position as at 30 June 2011, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Directors' Responsibility for the Financial Statements

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, and for such internal controls as directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered the internal controls relevant to the company's preparation of financial statements that give a true and fair view in order to design audit procedures that were appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company's internal controls. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

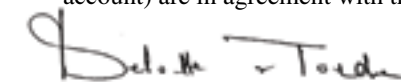
Opinion

In our opinion, the accompanying financial statements give a true and fair view of the state of financial affairs of the company as at 30 June 2011 and of its profit and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

Report on Other Legal Requirements

As required by the Kenyan Companies Act, we report to you, based on our audit that:

- we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- in our opinion, proper books of account have been kept by the company, so far as appears from our examination of those books; and
- the company's statement of financial position (balance sheet) and statement of comprehensive income (profit and loss account) are in agreement with the books of account.



Certified Public Accountants (Kenya)

25 August 2011

Nairobi

Partners: S. O. Onyango F. O. Aloo H. Cadhoke* N. R. Hira* B. W. Irungu J. M. Kiaries D. M. Mbogho A. N. Muraya J. Nyang'aya J. W. Wangai

* British

Statement of Comprehensive Income

For the Year Ended 30 June 2011

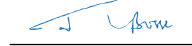
	Note	2011 Shs'000	2010 Shs'000
Revenue	4	15,795,300	15,617,738
Fair value loss on biological assets	16	(6,445)	(50,137)
Operating income		15,788,855	15,567,601
Cost of sales		(10,342,125)	(10,683,063)
Gross profit		5,446,730	4,884,538
Other operating income		106,233	80,214
Marketing and distribution costs		(1,164,570)	(909,818)
Administrative expenses		(1,148,041)	(1,445,322)
Other operating expenses		(443,073)	(465,073)
Finance income	5(a)	144,831	404,226
Finance costs	5(b)	(295,535)	(368,891)
Profit before taxation	6	2,646,575	2,179,874
Taxation charge	8	(713,350)	(607,491)
Profit for the year		1,933,225	1,572,383
OTHER COMPREHENSIVE INCOME			
Gain on revaluation of property, plant and equipment		3,078,472	-
Deferred taxation on revaluation of property, plant and equipment		(923,542)	-
TOTAL COMPREHENSIVE INCOME FOR THE YEAR		4,088,155	1,572,383
		Shs	Shs
Earnings per share - basic & diluted	9	1.26	1.03

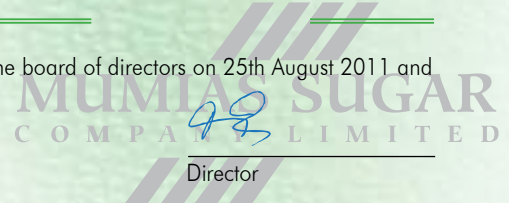
Statement of Financial Position

30 June 2011

	Note	2011 Shs'000	2010 Shs'000
ASSETS			
Non current assets			
Property, plant and equipment	11	16,415,740	11,585,953
Intangible assets	12	156,732	142,879
Non current receivables	14	92,385	98,393
		16,664,857	11,827,225
Current assets			
Inventories	15	1,191,114	955,078
Biological assets	16	210,615	179,375
Trade and other receivables	17	3,863,595	3,327,244
Taxation recoverable	8(c)	250,109	401,301
Collateral deposit	18	314,524	286,709
Short term deposits	19	14,345	820,376
Quoted investments – At fair value through profit or loss	20	25,267	-
Cash and bank balances		642,090	525,751
		6,511,659	6,495,834
Non current assets held for sale	21	-	11,051
		6,511,659	6,506,885
Total assets		23,176,516	18,334,110
EQUITY AND LIABILITIES			
Equity			
Share capital	23	3,060,000	3,060,000
Revaluation surplus		3,552,456	1,535,846
Retained earnings		7,863,551	6,404,006
Shareholders' equity		14,476,007	10,999,852
Non current liabilities			
Deferred income taxation liability	24	3,327,449	1,846,201
Provision for service gratuity	25(a)	3,735	19,800
Deferred grant income	26	11,800	25,760
Long term borrowings	27	2,395,834	2,192,476
		5,738,818	4,084,237
Current liabilities			
Borrowings	27	610,028	337,304
Trade and other payables	28	2,024,399	2,567,492
Provision for service gratuity	25(a)	10,482	6,474
Provision for staff leave pay	29	33,822	29,478
Unclaimed dividends	10(b)	282,960	309,273
		2,961,691	3,250,021
Total equity and liabilities		23,176,516	18,334,110

The financial statements on pages 34 to 76 were approved and authorised for issue by the board of directors on 25th August 2011 and were signed on its behalf by:


Director


Director

Statement of Changes in Equity

For the Year Ended 30 June 2011

	Share capital Shs'000	Revaluation surplus Shs'000	Retained earnings Shs'000	Total Shs'000
At 1 July 2009	3,060,000	1,687,251	5,292,218	10,039,469
Total comprehensive income for the year	-	-	1,572,383	1,572,383
Final dividend declared - 2009	-	-	(612,000)	(612,000)
Transfer on disposal of equipment	-	(14,293)	14,293	-
Deferred taxation transferred on disposal of equipment	-	4,288	(4,288)	-
Transfer of excess depreciation	-	(202,000)	202,000	-
Deferred taxation on excess depreciation	-	60,600	(60,600)	-
At 30 June 2010	3,060,000	1,535,846	6,404,006	10,999,852
At 1 July 2010	3,060,000	1,535,846	6,404,006	10,999,852
Total comprehensive income for the year	-	2,154,930	1,933,225	4,088,155
Final dividend declared - 2010	-	-	(612,000)	(612,000)
Transfer on disposal of equipment	-	(2,189)	2,189	-
Deferred taxation transferred on disposal of equipment	-	656	(656)	-
Transfer of excess depreciation	-	(195,411)	195,411	-
Deferred taxation on excess depreciation	-	58,624	(58,624)	-
At 30 June 2011	3,060,000	3,552,456	7,863,551	14,476,007

The revaluation surplus represents the net cumulative surplus arising from revaluation of property, plant and equipment net of depreciation and deferred taxation. The revaluation surplus is non-distributable.

Statement of Cash Flows

For the Year Ended 30 June 2011

	Note	2011 Shs'000	2010 Shs'000
CASH FLOWS FROM OPERATING ACTIVITIES			
Cash generated from operations	30(a)	2,346,188	2,828,175
Interest paid		(181,585)	(212,966)
Interest received		144,831	404,226
Other finance charges paid		(4,800)	(9,848)
Taxation paid	8(c)	(4,452)	(5,269)
Net cash generated by operating activities		2,300,182	3,004,318
CASH FLOWS FROM INVESTING ACTIVITIES			
Additions to property, plant and equipment		(2,607,652)	(336,646)
Additions to intangible assets	12	(6,259)	(1,544)
Proceeds on disposal of non-current assets held for sale		1,532	15,501
Net cash used in investing activities		(2,612,379)	(322,689)
CASH FLOWS FROM FINANCING ACTIVITIES			
Dividend paid	10(b)	(638,313)	(623,948)
Loans received	30(b)	840,681	-
Loans repaid	30(b)	(579,863)	(314,247)
Net used in financing activities		(377,495)	(938,195)
(DECREASE) / INCREASE IN CASH AND CASH EQUIVALENTS		(689,692)	1,743,434
CASH AND CASH EQUIVALENTS AT 1 JULY		1,346,127	(397,307)
CASH AND CASH EQUIVALENTS AT 30 JUNE	30(c)	656,435	1,346,127

Notes to the Financial Statements

1 PRINCIPAL ACCOUNTING POLICIES

Statement of compliance

The financial statements are prepared in accordance with International Financial Reporting Standards. For purposes of reporting under the Kenyan companies Act, the balance sheet in these financial statements is represented by the statement of financial position and the profit and loss account is presented in the statement of comprehensive income.

Adoption of new and revised International Financial Reporting Standards (IFRSs)

(a) Relevant new standards and amendments to published standards effective for the year ended 30 June 2011

Annual improvements to IFRS

Various amendments to existing standards resulting from April 2009 Annual Improvements to IFRSs were effective in the year but had no material effect on the company's financial statements. These included:

	Effective for annual periods beginning on or after
IFRS 5, Non-current Assets Held for Sale and Discontinued Operations — Amendments resulting from April 2009 Annual Improvements to IFRSs	1 January 2010
IFRS 8, Operating Segments — Amendments resulting from April 2009 Annual Improvements to IFRSs	1 January 2010
IAS 1, Presentation of Financial Statements — Amendments resulting from April 2009 Annual Improvements to IFRSs	1 January 2010
IAS 7, Statement of Cash Flows — Amendments resulting from April 2009 Annual Improvements to IFRSs	1 January 2010
IAS 17, Leases — Amendments resulting from April 2009 Annual Improvements to IFRSs	1 January 2010
IAS 36, Impairment of Assets — Amendments resulting from April 2009 Annual Improvements to IFRSs	1 January 2010
IAS 39, Financial Instruments: Recognition and Measurement — Amendments resulting from April 2009 Annual Improvements to IFRSs	1 January 2010

(b) Relevant new and amended standards in issue but not yet effective in the year ended 30 June 2011

Amendments IAS 24: Related Party Disclosures (2009)

The amendments to IAS 24 provide a partial exemption from related party disclosure requirements for government-related entities; clarifies the definition of a related party; and include an explicit requirement to disclose commitments involving related parties. The amendments are effective for annual periods beginning on or after 1 January 2011.

The company will apply this amendment prospectively. The directors, however, anticipate no material impact to the company's financial statements.

Notes to the Financial Statements (cont'd)

1 PRINCIPAL ACCOUNTING POLICIES (cont'd)

Adoption of new and revised International Financial Reporting Standards (IFRSs) (cont'd)

(b) Relevant new and amended standards in issue but not yet effective in the year ended 30 June 2011 (cont'd)

IFRS 9: Financial Instruments (2010)

IFRS 9 introduces new requirements for the classification and measurement of financial assets and financial liabilities and for derecognition.

IFRS 9 requires all recognised financial assets that are within the scope of IAS 39 *Financial Instruments: Recognition and Measurement* to be subsequently measured at amortised cost or fair value. Specifically, debt investments that are held within a business model whose objective is to collect the contractual cash flows, and that have contractual cash flows that are solely payments of principal and interest on the principal outstanding are generally measured at amortised cost at the end of subsequent accounting periods. All other debt investments and equity investments are measured at their fair values at the end of subsequent accounting periods.

The most significant effect of IFRS 9 regarding the classification and measurement of financial liabilities relates to the accounting for changes in fair value of a financial liability (designated as at fair value through profit or loss) attributable to changes in the credit risk of that liability. Specifically, under IFRS 9, for financial liabilities that are designated as at fair value through profit or loss, the amount of change in the fair value of the financial liability that is attributable to changes in the credit risk of that liability is recognised in other comprehensive income, unless the recognition of the effects of changes in the liability's credit risk in other comprehensive income would create or enlarge an accounting mismatch in profit or loss. Changes in fair value attributable to a financial liability's credit risk are not subsequently reclassified to profit or loss. Previously, under IAS 39, the entire amount of the change in the fair value of the financial liability designated as at fair value through profit or loss was recognised in profit or loss.

The standard is effective for annual periods beginning on or after 1 January 2015. The company will apply this amendment prospectively. The directors, however, anticipate no material impact to the company's financial statements.

IFRS 10: Consolidated Financial Statements

IFRS 10 requires a parent to present consolidated financial statements as those of a single economic entity, replacing the requirements previously contained in IAS 27 'Consolidated and Separate Financial Statements' and SIC-12 'Consolidation - Special Purpose Entities'.

The standard identifies the principles of control, determines how to identify whether an investor controls an investee and therefore must consolidate the investee, and sets out the principles for the preparation of consolidated financial statements. The Standard introduces a single consolidation model for all entities based on control, irrespective of the nature of the investee (i.e. whether an entity is controlled through voting rights of investors or through other contractual arrangements as is common in 'special purpose entities'). Under IFRS 10, control is based on whether an investor has:

- power over the investee
- exposure, or rights, to variable returns from its involvement with the investee, and
- the ability to use its power over the investee to affect the amount of the returns.

The standard is effective for annual periods beginning on or after 1 January 2013. The company will apply this amendment prospectively. The directors anticipate no material impact to the company's financial statements currently. However, the company would have to apply this standard to its interest in the TARDA project once the envisaged company is formed to run the project.

IFRS 11: Joint Arrangements

IFRS 11 replaces IAS 31 'Interests in Joint Ventures'. It requires a party to a joint arrangement to determine the type of joint arrangement in which it is involved by assessing its rights and obligations and then account for those rights and obligations in accordance with that type of joint arrangement.

Notes to the Financial Statements (cont'd)

1 PRINCIPAL ACCOUNTING POLICIES (cont'd)

Adoption of new and revised International Financial Reporting Standards (IFRSs) (cont'd)

(b) Relevant new and amended standards in issue but not yet effective in the year ended 30 June 2011 (cont'd)

IFRS 11: Joint Arrangements (cont'd)

Joint arrangements are either joint operations or joint ventures:

- A joint operation is a joint arrangement whereby the parties that have joint control of the arrangement (joint operators) have rights to the assets, and obligations for the liabilities, relating to the arrangement. Joint operators recognise their assets, liabilities, revenue and expenses in relation to its interest in a joint operation (including their share of any such items arising jointly)
- A joint venture is a joint arrangement whereby the parties that have joint control of the arrangement (joint venturers) have rights to the net assets of the arrangement. A joint venturer applies the equity method of accounting for its investment in a joint venture in accordance with IAS 28 'Investments in Associates and Joint Ventures (2011)'. Unlike IAS 31, the use of 'proportionate consolidation' to account for joint ventures is not permitted.

The standard is effective for annual periods beginning on or after 1 January 2013. The company will apply this amendment prospectively. The directors anticipate no material impact to the company's financial statements currently. However, the company would have to apply this standard to any such arrangements entered in the course of its expansion strategy.

IFRS 12: Disclosure of Interests in Other Entities

IFRS 12 requires the extensive disclosure of information that enables users of financial statements to evaluate the nature of, and risks associated with, interests in other entities and the effects of those interests on its financial position, financial performance and cash flows.

In high-level terms, the required disclosures are grouped into the following broad categories:

- Significant judgements and assumptions - such as how control, joint control, significant influence has been determined
- Interests in subsidiaries - including details of the structure of the group, risks associated with structured entities, changes in control, and so on
- Interests in joint arrangements and associates - the nature, extent and financial effects of interests in joint arrangements and associates (including names, details and summarised financial information)
- Interests in unconsolidated structured entities - information to allow an understanding of the nature and extent of interests in unconsolidated structured entities and to evaluate the nature of, and changes in, the risks associated with its interests in unconsolidated structured entities

IFRS 12 lists specific examples and additional disclosures which further expand upon each of these disclosure objectives, and includes other guidance on the extensive disclosures required.

The standard is effective for annual periods beginning on or after 1 January 2013. The company will apply this amendment prospectively. The directors anticipate no material impact to the company's financial statements currently. However, the company would have to apply this standard to any such interest acquired in the course of its expansion strategy.

IFRS 13: Fair Value Measurement

IFRS 13 replaces the guidance on fair value measurement in existing IFRS accounting literature with a single standard. The IFRS is the result of joint efforts by the IASB and FASB to develop a converged fair value framework. The IFRS defines fair value, provides guidance on how to determine fair value and requires disclosures about fair value measurements. However, IFRS 13 does not change the requirements regarding which items should be measured or disclosed at fair value.

IFRS 13 applies when another IFRS requires or permits fair value measurements or disclosures about fair value measurements (and measurements, such as fair value less costs to sell, based on fair value or disclosures about those measurements). With some exceptions, the standard requires entities to classify these measurements into a 'fair value hierarchy' based on the nature of the inputs:

Notes to the Financial Statements (cont'd)

1 PRINCIPAL ACCOUNTING POLICIES (cont'd)

Adoption of new and revised International Financial Reporting Standards (IFRSs) (cont'd)

(b) Relevant new and amended standards in issue but not yet effective in the year ended 30 June 2011 (cont'd)

IFRS 13: Fair Value Measurement (cont'd)

- Level 1 - quoted prices in active markets for identical assets or liabilities that the entity can access at the measurement date;
- Level 2 - inputs other than quoted market prices included within Level 1 that are observable for the asset or liability, either directly or indirectly;
- Level 3 - unobservable inputs for the asset or liability.

Entities are required to make various disclosures depending upon the nature of the fair value measurement (e.g. whether it is recognised in the financial statements or merely disclosed) and the level in which it is classified.

The standard is effective for annual periods beginning on or after 1 January 2013. The company will apply this amendment prospectively. The directors anticipate no material impact to the company's financial statements.

(c) Early adoption of standards

The company did not early-adopt any new or amended standards in the period.

Basis of preparation

The financial statements have been prepared on the historical cost basis of accounting as modified to include the revaluation of certain assets.

The principal accounting policies adopted in the preparation of these financial statements remain unchanged from the previous years and are set out below:

Revenue recognition

(i) Sale of goods

Revenue is measured at the fair value of the consideration received or receivable. Revenue is reduced for estimated customer returns, rebates and other similar allowances.

Revenue from the sale of sugar and molasses is recognised when all the following conditions are satisfied and are stated net of Value Added Tax, Sugar Development Levy and discounts:

- the company has transferred to the buyer the significant risks and rewards of ownership of the goods;
- the company retains neither continuing managerial involvement to the degree usually associated with ownership nor effective control over the goods sold;
- the amount of revenue can be measured reliably;
- it is probable that the economic benefits associated with the transaction will flow to the entity; and
- the costs incurred or to be incurred in respect of the transaction can be measured reliably.

Sugar Development Levy does not apply to export sugar and molasses sales. Value Added Tax does not apply to export sugar sales as well as sales to exempted entities.

(ii) Sale of electricity

Revenue from electricity sales is recognised based on kilowatt hours (KWH) of power exported to the national grid and capacity charges as provided for under a Power Purchase Agreement (PPA) with the Kenya Power and Lighting Company Limited (KPLC).

Notes to the Financial Statements (cont'd)

1 PRINCIPAL ACCOUNTING POLICIES (cont'd)

Revenue recognition (cont'd)

(iii) Interest income

Interest income is recognised when it is probable that the economic benefits will flow to the company and the amount of revenue can be measured reliably. Interest income is accrued on a time basis, by reference to the principal outstanding and at the effective interest rate applicable, which is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset to that asset's net carrying amount on initial recognition.

(iv) Other income

All other income earned by the company is recognised on the accruals basis.

Foreign currencies

Transactions in currencies other than the Kenya Shilling are translated at the rates of exchange prevailing on the dates of the transactions. At the end of each reporting period, monetary assets and liabilities that are denominated in foreign currencies are translated at the rates prevailing at the end of the reporting period. Gains and losses arising on translation are included in profit or loss for the period.

Exchange differences on monetary items are recognised in profit or loss in the period in which they arise except for exchange differences on foreign currency borrowings relating to assets under construction for future productive use, which are included in the cost of those assets when they are regarded as an adjustment to interest costs on those foreign currency borrowings.

Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, these being assets that necessarily take a substantial period of time to get ready for their intended use, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use.

All other borrowing costs are recognised in profit or loss in the period in which they are incurred.

Deferred grant income

Grants related to acquisition of equipment are accounted for as deferred income and are recognised through profit or loss on a systematic basis over the useful life of the equipment.

Taxation

Income taxation expense represents the sum of current taxation and deferred taxation.

Current taxation is provided on the basis of the results for the year as shown in the financial statements, adjusted in accordance with the tax legislation.

Deferred income taxation is provided, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred income taxation.

Property, plant and equipment

Property, plant and equipment are initially recorded at cost. All property, plant and equipment except for motor vehicles are subsequently shown at their revalued amounts based on valuations by external independent valuers, less accumulated depreciation and any accumulated impairment losses. Such valuation is carried out at periodic intervals, usually after every five years.

Notes to the Financial Statements (cont'd)

1 PRINCIPAL ACCOUNTING POLICIES (cont'd)

Property, plant and equipment (cont'd)

Gains and losses on disposal of property, plant and equipment are determined by reference to their carrying amounts and are taken into account in determining the profit before taxation. On disposal of revalued assets, amounts in the revaluation surplus relating to that asset are transferred to retained earnings.

The carrying values of property, plant and equipment are reviewed annually and adjusted for impairment where it is considered necessary.

Any revaluation increase arising on the revaluation is recognised in other comprehensive income, except to the extent that it reverses a revaluation decrease for the same asset previously recognised in profit or loss, in which case the increase is credited to profit or loss to the extent of the decrease previously expensed. A decrease in the carrying amount arising on the revaluation of such property, plant and equipment is recognised in profit or loss to the extent that it exceeds the balance, if any, held in the property revaluation reserve relating to a previous revaluation of that asset.

Depreciation

Depreciation is calculated on the straight-line method to write off the cost or the revalued amount of each asset to its estimated residual value over its estimated useful life. The annual rates used are:

Land development	2½%
Buildings	2½% - 5%
Factory plant and machinery	5% - 10%
Heavy mobile machinery	12½% - 25%
Motor vehicles	20% - 33⅓%
Other equipment and fixtures	12½% - 33⅓%

The annual depreciation on the revaluation surplus element of property, plant and equipment is transferred from the revaluation surplus to retained earnings.

Intangible assets

Computer software

Intangible assets comprise the cost of acquired computer software programmes. Expenditure on acquired computer software programmes is capitalised and amortised using the straight-line method over their estimated useful lives, generally not exceeding three years. The carrying amount of intangible assets is reviewed annually and adjusted for any impairment losses. Intangible assets are not revalued.

Research and development expenditure

Expenditure on research activities is recognised as an expense in the period in which it is incurred. An internally generated intangible asset arising from development (or from the developmental phase of an internal project) is recognised if and only if, all of the following have been demonstrated:

- the technical feasibility of completing the intangible asset so that it will be available for use or sale;
- the intention to complete the intangible asset and use or sell it;
- the ability to use or sell the intangible asset;
- how the intangible asset will generate probable future economic benefits;
- the availability of adequate technical, financial and other resources to complete the development and to use or sell the intangible asset; and
- the ability to measure reliably the expenditure attributable to the intangible asset during its development.

Notes to the Financial Statements (cont'd)

1 PRINCIPAL ACCOUNTING POLICIES (cont'd)

Research and development expenditure (cont'd)

The amount initially recognised for an internally - generated intangible asset is the sum of the expenditure incurred from the date when the intangible asset first meets recognition criteria listed above. Where no internally - generated intangible asset can be recognised, development expenditure is charged through profit or loss in the period in which it is incurred.

Inventories

Finished sugar and molasses inventories are stated at the lower of production cost and net realisable value. Production cost comprises expenditure directly incurred in the manufacturing process and an allocation of normal production overheads attributable to the process. Net realisable value represents the estimated selling price less all estimated costs of completion and the estimated costs necessary to make the sale.

Sugar in process is stated at half the production cost of finished sugar.

Spares, fertilisers, chemicals and other consumable stores are stated at cost net of provisions for impairment where applicable. Cost is calculated on the weighted average cost basis and includes the purchase price, import duties and other taxes (other than those subsequently recoverable by the company from the taxation authorities), and transport, handling and other costs directly attributable to the acquisition of the item.

Biological assets

Biological assets (cane plantations) and agricultural produce (harvested cane) are stated at their fair values less estimated costs to sale.

The fair value of growing cane is determined based on the present value of expected net cash flows. The fair value of harvested cane is determined based on the prices of cane existing in the market less estimated costs to sale

Immature growing cane is valued at cost.

Non-current assets held for sale

Non-current assets are classified as held for sale if their carrying amount will be principally recovered through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the asset is available for sale in its present condition. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification. Non-current assets classified as held for sale are measured at the lower of the asset's previous carrying amount and the fair value less costs to sell.

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the company as a lessee. All other leases are classified as operating leases.

Company as a lessor

Rental income from operating leases is recognized on the straight line basis over the term of the relevant lease.

Company as a lessee

Rentals payable under operating leases are charged to profit or loss on the straight-line basis over the term of the relevant lease. Any payment required to be made to the lessor by way of penalty, for termination of leases before the expiry of the lease period, is recognised in the year in which termination takes place.

Payments to acquire leasehold interests in land are treated as prepaid operating lease rentals and amortised over the period of the lease.

Notes to the Financial Statements (cont'd)

1 PRINCIPAL ACCOUNTING POLICIES (cont'd)

Cash and cash equivalents

For the purpose of the statement of cash flows, cash equivalents include short term liquid investments which are readily convertible to known amounts of cash and which were within three months of maturity when acquired; less advances from banks repayable within three months from the date of the advance.

Financial instruments

Financial assets and financial liabilities are recognised in the company's statement of financial position when the company becomes a party to the contractual provisions of the instrument.

Financial assets

Classification

The company classifies its financial assets into the following categories: Financial assets at fair value through profit or loss; loans and receivables; held-to-maturity assets; and available-for-sale assets. Management determines the appropriate classification of its financials assets at initial recognition.

Financial assets at fair value through profit or loss

This category has two sub-categories: Financial assets held for trading and those designated at fair value through profit or loss at inception. A financial asset is classified in this category if acquired principally for the purpose of selling in the short term or if so designated by management. The company's investment in quoted equity shares falls under this category.

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They arise when the company provides money, goods or services directly to a debtor with no intention of trading the receivable. The company's trade and other receivables as well as cash and bank balances fall under this category.

Held to maturity

Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturities that management has the positive intention and ability to hold to maturity. Where a sale occurs other than an insignificant amount of held-to-maturity assets, the entire category would be tainted and classified as available-for-sale. The collateral and the term deposits fall under this category.

Available-for-sale financial assets

This category represents financial assets that are not (a) financial assets at fair value through profit or loss, (b) loans and receivables, or (c) financial assets held-to-maturity.

Recognition

Financial assets are initially recognised at fair value plus directly attributable transaction costs for all financial assets not carried at fair value through profit or loss.

Available-for-sale financial assets and financial assets at fair value through profit or loss are subsequently carried at fair value. Loans and receivables and held-to-maturity investments are carried at amortised cost using the effective interest method.

Notes to the Financial Statements (cont'd)

1 PRINCIPAL ACCOUNTING POLICIES (cont'd)

Financial instruments (cont'd)

Recognition (cont'd)

Gains and losses arising from changes in the fair value of “financial assets at fair value through profit or loss” are dealt with in profit or loss in the period in which they arise. Gains and losses arising from changes in the fair value of available-for-sale financial assets are recognised in other comprehensive income and accumulated in equity, until the financial asset is derecognised or impaired, at which time the cumulative gain or loss previously recognised in equity is recognised in profit or loss.

Derecognition

Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or where the company has transferred substantially all risks and rewards of ownership.

Financial liabilities

Financial liabilities are classified as either financial liabilities ‘at fair value through profit or loss’ or ‘other financial liabilities’. Financial liabilities are initially measured at fair value plus, in the case of a financial liability not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition or issue of the financial liability. Financial liabilities are derecognised when the obligation specified in the contract is discharged or cancelled or expire.

Financial liabilities at fair value through profit or loss

This category has two sub-categories: Financial liabilities held for trading and those designated at fair value through profit or loss at inception. A financial liability is classified as ‘at fair value through profit or loss’ if acquired principally for the purpose of repurchasing in the near future or if so designated by management. Financial liabilities at fair value through profit or loss are subsequently carried at fair value. Gains and losses arising from changes in the fair value of these financial assets are included in the profit or loss in period in which they arise.

Other financial liabilities

Other financial liabilities, including borrowings and trade and other payables, are initially measured at fair value, net of directly attributable transaction costs. Other financial liabilities are subsequently measured at amortised cost using the effective interest method, with interest expense recognised on an effective yield basis. The company’s key other financial liabilities are:

Bank borrowings

Interest bearing loans and overdrafts are recorded at the proceeds received, net of direct costs. Finance charges, including premiums payable on settlement or redemption, are accounted for on the accrual basis and are added to the carrying amount of the instrument to the extent that they are not settled in the period in which they arise.

Trade and other payables

Trade and other payables are stated at their nominal value which approximates amortised cost.

Impairment

At the end of each reporting period, the company reviews the carrying amounts of its financial assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the asset’s recoverable amount is estimated and an impairment loss is recognised through profit or loss whenever the carrying amount of the asset exceeds its recoverable amount.

Notes to the Financial Statements (cont'd)

1 PRINCIPAL ACCOUNTING POLICIES (cont'd)

Financial instruments (cont'd)

Impairment (cont'd)

Where an impairment loss subsequently reverses, the carrying amount of the asset is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset in prior years. A reversal of an impairment loss is recognised immediately through profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

Retirement benefits obligations

Defined benefit scheme

The company operates a defined benefit post employment scheme for eligible non unionisable employees. The scheme is funded by contributions from both employer and employee. The assets of the scheme are held and administered independently of the company’s assets.

The cost of providing benefits for the defined benefit scheme is determined using the Projected Unit Credit Method, with actuarial valuations being carried out every three years. Actuarial gains and losses that exceed 10 per cent of the greater of the present value of the company’s defined benefit obligation and the fair value of plan assets as at the end of the prior year are amortised over the expected average remaining working lives of the participating employees. Past service cost is recognised immediately to the extent that the benefits are already vested, and otherwise is amortised on a straight-line basis over the average period until the benefits become vested.

The net retirement benefit obligation represents the present value of the defined benefit obligation as adjusted for unrecognised actuarial gains and losses and unrecognised past service cost, and as reduced by the fair value of plan assets. Any asset resulting from this calculation is limited to unrecognised actuarial losses and past service cost, plus the present value of available refunds and reductions in future contributions to the plan.

Defined contribution schemes

The company operates a defined contribution provident fund for eligible unionisable employees. The fund is administered independently of the company’s assets. It is funded by contributions from the company and employees. The company has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods. The company’s contributions to the fund are charged to profit or loss in the year to which they relate.

The company and its employees also contribute to the statutory National Social Security Fund, which is a defined contribution scheme. The company’s obligation is limited to a specified contribution per employee per month. Currently, the contribution is limited to a maximum of Shs 200 per employee per month. The company’s contributions are charged through profit or loss in the year to which they relate.

Contract gratuity

The company has fixed term service contracts with some of the employees. A contract gratuity of 25% of the basic pay earned over the contract period is paid at the end of the contract. The monetary liability is accrued at the end of each year based on the completed period of service.

Employee benefits

Bonus scheme

The company operates a bonus scheme for its employees. The bonus is payable based on achievement of annual performance targets. Bonus costs are recognised upon the approval of a bonus by management.

Restructuring and rationalisation provisions

Notes to the Financial Statements (cont'd)

1 PRINCIPAL ACCOUNTING POLICIES (cont'd)

Employee benefits (cont'd)

Restructuring and rationalisation provisions mainly comprise employee termination payments and are recognised in the period in which the company becomes legally or constructively committed to payment.

Provision for staff leave pay

A provision is made to recognise staff entitlements in respect of annual leave not taken as at the end of the financial year.

Dividends

Dividends on ordinary shares are charged to equity in the period in which they are declared and appropriately authorized.

Comparatives

Where necessary, comparative figures have been adjusted to conform to changes in presentation in the current year.

2 CRITICAL ACCOUNTING JUDGEMENTS AND KEY SOURCES OF ESTIMATION AND UNCERTAINTY IN APPLYING THE ENTITY'S ACCOUNTING POLICIES

In the process of applying the company's accounting policies, management is required to make judgements, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The judgements, estimates and associated assumptions are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision only affects that period or in the period of the revision and future periods if the revision affects both current and future periods. These are dealt with below:

(i) Critical judgements in applying the company's accounting policies

Held to maturity investments

The company follows the guidance of IAS 39 on classifying non-derivative financial assets with fixed or determinable payments and fixed maturity as held-to-maturity financial assets. This classification requires significant judgement. In making this judgement, the company evaluates its intention and ability to hold such investments to maturity. If the company fails to keep these assets to maturity, for example selling a more than insignificant amount close to maturity, it will be required to classify the entire class as available-for-sale. The assets would therefore have to be measured at fair value and not amortised cost with the difference arising from this change in valuation being a corresponding entry to a fair value reserve in shareholders' equity.

(ii) Key sources of estimation and uncertainty

Biological assets

In determining the fair value of biological assets, management uses estimates based on historical data relating to yields and prices of sugar. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce potential differences between estimates and actual experience. The significant assumptions used are set out in note 16.

Notes to the Financial Statements (cont'd)

2 CRITICAL ACCOUNTING JUDGEMENTS AND KEY SOURCES OF ESTIMATION AND UNCERTAINTY IN APPLYING THE ENTITY'S ACCOUNTING POLICIES (cont'd)

(ii) Key sources of estimation and uncertainty (cont'd)

Property, plant and equipment and intangible assets

Critical estimates are made by the management in determining the useful lives of property, plant and equipment and intangible assets. This is the basis on which the depreciation and amortization rates applied on property, plant and equipment and intangible assets respectively are determined.

Impairment

Determining whether assets are impaired requires an estimation of the value of the assets.

Contingent liabilities

As disclosed in note 33 to these financial statements, the company is exposed to various contingent liabilities in the normal course of business. Management evaluates the status of these exposures on a regular basis to assess the probability of the company incurring related liabilities. However, provisions are only made in the financial statements where, based on the management's evaluation, a present obligation has been established.

3 SEGMENTAL INFORMATION

a) Products and services from which reportable segments derive their revenues

Information reported to the company's chief operating decision maker (the Managing Director) for the purposes of resource allocation and assessment of segment performance is focussed on the principal activities of the company.

The company defines its reportable operating segments on the basis of products as indicated below;

- Sugar segment which primarily produces and sells sugar.
- Energy segment which generates electricity from bagasse (a by product of sugar production) for sale to the Kenya Power and Lighting Company Limited.

Notes to the Financial Statements (cont'd)

3 SEGMENTAL INFORMATION (cont'd)

b) Segment revenues and results, assets and liabilities

	Sugar Shs'000	Energy Shs'000	Total Shs'000
30 June 2011			
Revenue	15,441,805	353,495	15,795,300
Intersegment sales	(108,622)	108,622	-
Total sales	15,333,183	462,117	15,795,300
Cost of sales	(9,537,071)	(805,054)	(10,342,125)
Fair value changes on biological assets	(6,445)	-	(6,445)
Profit before taxation	2,991,208	(344,633)	2,646,575
Segment EBITDA	3,412,596	274,307	3,686,903
Segment assets	17,141,253	6,035,263	23,176,516
Segment liabilities	3,039,037	2,449,020	5,488,057
Depreciation and amortisation	638,930	250,693	889,623

30 June 2010

Revenue	15,297,314	320,424	15,617,738
Intersegment sales	(57,774)	57,774	-
Total sales	15,239,540	378,198	15,617,738
Cost of sales	(10,313,015)	(370,048)	(10,683,063)
Fair value changes on biological assets	(50,137)	-	(50,137)
Profit before taxation	2,499,045	(319,171)	2,179,874
Segment EBITDA	2,817,111	235,166	3,052,277
Segment assets	12,721,117	5,612,993	18,334,110
Segment liabilities	2,815,151	2,627,346	5,442,497
Depreciation and amortisation	633,876	250,693	907,738

Revenue reported above represents revenue generated from external customers, except for the intersegment sales identified in year 2011.

Segment liabilities represent long term loans and current liabilities only.

Impairment losses of Shs nil (2010: Shs 82 million) were recognised in respect of property, plant and equipment.

c) Information on major customers

Included in revenue arising from sales of sugar of Shs 15.21 billion (2010: Shs 15.12 billion), is revenue of approximately Shs 2.2 billion (2010: Shs 1.7 billion) which arose from sales to the company's largest customer.

The energy revenue solely relates to sales to KPLC. The company has a power purchase agreement with KPLC which stipulates that the power generated by the company shall be purchased by KPLC as per agreed rates and operational parameters

d) Other information

The accounting policies for the reportable segments are the same as the company's accounting policy described in note 1.

Primarily all of the company's revenue is earned from sales made in Kenya.

All the assets of the company are located in Kenya.

Notes to the Financial Statements (cont'd)

	2011 Shs'000	2010 Shs'000
4 REVENUE ANALYSIS		
Gross sales	18,812,871	18,797,765
Less:		
Value Added Tax	(2,448,482)	(2,574,669)
Sugar Development Levy	(569,089)	(605,358)
	(3,017,571)	(3,180,027)
Net sales	15,795,300	15,617,738
Net sales analysed as follows:		
Sugar sales	15,191,380	15,155,877
Molasses sales	250,425	141,437
	15,441,805	15,297,314
Electricity sales	353,495	320,424
	15,795,300	15,617,738
5 (a) FINANCE INCOME		
Interest income:		
On services and inputs to farmers	126,934	384,443
On deposits with financial institutions held to maturity	8,836	9,128
On staff loans	7,678	6,531
On collateral deposits held to maturity	1,383	3,397
On Uchumi Supermarket limited debenture	-	727
	144,831	404,226
The interest income on services and inputs to farmers relates to the interest the company charges the farmers on land preparation, seed cane and fertilizers costs that the company provides to them for cane establishment and development. The company provides agricultural extension services and inputs to farmers and recovers these amounts from the amounts payable to farmers on harvested cane.		
(b) FINANCE COSTS		
Interest expense:		
On loans	181,049	169,536
On bank overdrafts	36,495	43,430
	217,544	212,966
Less: Amounts included in cost of qualifying assets	(35,959)	-
Total interest expense	181,585	212,966
Other finance charges	4,800	9,848
Net foreign exchange losses	109,150	146,077
	295,535	368,891

Interest costs amounting to Shs 35,959,000 (2010 – Shs nil) and were included in the cost of qualifying assets (Ethanol project) in accordance with IAS 23 'Borrowing Costs' which allows borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset to form part of the cost of that asset.

Notes to the Financial Statements (cont'd)

	2011 Shs'000	2010 Shs'000
6 PROFIT BEFORE TAXATION		
Profit before taxation is arrived at after:		
Charging:		
Staff costs (note 7)	1,994,586	1,976,372
Depreciation of property, plant and equipment (note 11)	884,569	862,870
Amortisation of intangible assets (note 12)	5,054	44,868
Operating lease rentals (note 31)	24,332	27,049
Directors' emoluments - fees	6,286	5,500
- other	54,738	49,402
Auditors' remuneration	6,200	5,200
Bad and doubtful debts	-	2,441
Loss on disposal of non-current assets held for sale	9,519	26,308
Crediting:		
Amortisation of grant income (note 26)	13,960	12,026
Reduction in provision for obsolete stock	19,295	56,209
Write back of impairment provision for doubtful debts	33,466	-
Gain on revaluation of quoted equity investments at fair value through profit or loss	3,103	-
7 STAFF COSTS		
Salaries and allowances	1,766,947	1,688,395
Staff performance bonus	60,000	142,542
Pension - defined benefit scheme	61,338	58,936
Provident fund	33,495	33,854
Group life insurance cover	32,631	26,550
Staff gratuity provision	31,329	15,914
Pension - statutory defined contribution scheme	4,943	5,252
Provision for leave pay	3,903	4,929
	1,994,586	1,976,372
8 TAXATION		
(a) Taxation charge/(credit)		
Current taxation based on the adjusted profit for the year at 30% - current year	3,514	-
Prior year under provision	152,130	-
Total current taxation charge	155,644	-
Deferred taxation charge/(credit)		
- current year	734,899	600,856
- prior year (over)/under provision	(177,193)	6,635
Total deferred taxation charge/(credit) (note 24)	557,706	607,491
	713,350	607,491

As at 30 June 2011, the company had accumulated tax losses amounting to Shs 652,637,000 (2010: Shs 3,056,932,515)

Notes to the Financial Statements (cont'd)

	2011 Shs'000	2010 Shs'000
8 TAXATION (cont'd)		
(b) Reconciliation of expected tax based on accounting profit to taxation charge		
Accounting profit before taxation	2,646,575	2,179,874
Tax at the applicable rate of 30%	793,973	653,963
Tax effect of non deductible expenses	8,238	8,862
Tax effect of non taxable income	(5,119)	(3,608)
Tax effect of excess investment deduction	(58,679)	(58,361)
Prior year underprovision of current taxation	152,130	-
Prior year (over)/under provision of deferred taxation	(177,193)	6,635
	713,350	607,491
(c) Taxation recoverable		
At beginning of the year	(401,301)	(396,032)
Paid in the year	(4,452)	(5,269)
Charge for the year	3,514	-
Prior year under provision	152,130	-
At end of year	(250,109)	(401,301)
9 EARNINGS PER SHARE – BASIC & DILUTED		
Earnings per share are calculated by dividing the profit for the year attributable to shareholders by the number of ordinary shares in issue during the year.		
	2011	2010
Profit for the year (Shs'000)	1,933,225	1,572,383
Number of ordinary shares (thousands)	1,530,000	1,530,000
Earnings per share		
Basic & diluted (Shs)	1.26	1.03

There were no potentially dilutive shares outstanding at either 30 June 2011 or 30 June 2010.

10 DIVIDENDS

(a) Dividends per share

The directors recommend a first and final dividend of Shs 0.50 per share (2010 – Shs 0.40) totalling Shs 765 million (2010: Shs 612 million) in respect of the year. This dividend is subject to approval by shareholders at the Annual General Meeting and has not been recognised as a liability in these financial statements. The dividends payable are subject to, where applicable, deduction of withholding tax at the rate of 5% for residents and 10% for non residents as required under the Kenyan Income Tax Act, Chapter 470 Laws of Kenya.

Notes to the Financial Statements (cont'd)

	2011 Shs'000	2010 Shs'000
10 DIVIDENDS (cont'd)		
(b) The movement in the dividends payable account is as follows:		
At beginning of the year	309,273	321,221
Final dividend declared – 2010/2009	612,000	612,000
	<u>921,273</u>	<u>933,221</u>
Dividend paid	(638,313)	(623,948)
	<u>282,960</u>	<u>309,273</u>

The unclaimed dividends relate substantially to dividends payable to shareholders who had unresolved share certificate issues at the end of the reporting period. These shares are held in trust by Kanouti Trustees.

11 PROPERTY, PLANT AND EQUIPMENT

	Land development Shs'000	Buildings Shs'000	Factory plant and machinery Shs'000	Heavy mobile machinery Shs'000	Motor vehicles Shs'000	Other equipment and fixtures Shs'000	Capital work-in- progress Shs'000	Total Shs'000
COST OR VALUATION								
At 1 July 2009	923,250	2,197,190	9,623,109	233,823	283,603	481,567	561,256	14,303,798
Additions	-	799	199,952	59,308	6,073	33,587	36,927	336,646
Transfers to non-current assets held for sale (note 21)	-	(6,892)	(44,753)	(1,813)	-	-	-	(53,458)
Transfers from capital work in progress	9,049	-	211,560	-	-	54,019	(274,628)	-
Transfers from inventories (note 15)	-	-	54,490	-	-	-	-	54,490
At 30 June 2010	932,299	2,191,097	10,044,358	291,318	289,676	569,173	323,555	14,641,476
At 1 July 2010	932,299	2,191,097	10,044,358	291,318	289,676	569,173	323,555	14,641,476
Additions	19,105	22,091	167,186	30,802	50,248	107,302	2,210,918	2,607,652
Transfers to non-current assets held for sale (note 21)	-	-	-	-	(7,242)	(272)	-	(7,514)
Transfers from capital work in progress	-	788	185,967	-	-	1,999	(188,754)	-
Transfers to intangible assets	-	-	-	-	-	-	(12,648)	(12,648)
Transfers from inventories (note 15)	-	-	40,880	-	-	-	-	40,880
Revaluation increase/ (decrease)	311,245	835,827	(1,240,951)	7,149	-	-	-	(86,730)
At 30 June 2011	1,262,649	3,049,803	9,197,440	329,269	332,682	678,202	2,333,071	17,183,116
COMPRISING								
Cost	207,518	323,983	6,125,013	101,268	332,682	678,202	2,333,071	10,101,737
Valuation – 2011	1,055,131	2,725,820	3,072,427	228,001	-	-	-	7,081,379
	<u>1,262,649</u>	<u>3,049,803</u>	<u>9,197,440</u>	<u>329,269</u>	<u>332,682</u>	<u>678,202</u>	<u>2,333,071</u>	<u>17,183,116</u>

Notes to the Financial Statements (cont'd)

11 PROPERTY, PLANT AND EQUIPMENT (cont'd)

	Land development Shs'000	Factory Buildings Shs'000	Heavy plant and machinery Shs'000	mobile machinery Shs'000	Other Motor vehicles Shs'000	Capital equipment and fixtures Shs'000	work-in- progress Shs'000	Total Shs'000
DEPRECIATION								
At 1 July 2009	69,940	287,046	1,110,845	109,323	241,403	386,789	-	2,205,346
Charge for the year	26,470	103,139	622,370	44,010	20,547	46,334	-	862,870
Transfers to non-current assets held for sale (note 21)	-	(1,764)	(9,116)	(1,813)	-	-	-	(12,693)
At 30 June 2010	96,410	388,421	1,724,099	151,520	261,950	433,123	-	3,055,523
At 1 July 2010	96,410	388,421	1,724,099	151,520	261,950	433,123	-	3,055,523
Charge for the year	25,034	102,869	649,949	41,085	12,693	52,939	-	884,569
Transfers to non-current assets held for sale (note 21)	-	-	-	-	(7,242)	(272)	-	(7,514)
Depreciation written back on revaluation	(121,444)	(491,290)	(2,359,863)	(192,605)	-	-	-	(3,165,202)
At 30 June 2011	-	-	14,185	-	267,401	485,790	-	767,376
NET BOOK VALUE (valuation)								
At 30 June 2011	1,262,649	3,049,803	9,183,255	329,269	65,281	192,412	2,333,071	16,415,740
At 30 June 2010	835,889	1,802,676	8,320,259	139,798	27,726	136,050	323,555	11,585,953
NET BOOK VALUE (Cost basis)								
At 30 June 2011	515,958	731,160	7,453,100	100,404	65,281	141,829	2,333,071	11,340,803
At 30 June 2010	512,353	740,291	7,553,786	100,983	27,725	136,050	323,555	9,394,743

During the year, management reviewed items carried in inventories and identified certain major spare parts qualifying as items of property, plant and equipment as provided under IAS 16 Property, Plant and Equipment. These items have been transferred from inventory to property, plant and equipment at a carrying cost of Shs 40,880,000 (2010 - 54,490,000).

The items have attracted a depreciation charge of 14,180,000 (2010 – nil) during the year as they have been brought into use.

Property and factory, plant and machinery were revalued on 30 June 2011, by Tysons Limited, Registered Valuers and Estate Agents. Land developments were revalued based on open market value while the basis for the other assets was depreciated replacement cost.

The balance on capital work-in-progress mainly represents expenditure on the new ethanol plant, water purification plant and the boiler refurbishment that were in progress as at the end of the reporting period. The transfers from capital work in progress mainly relate to the expenditure incurred on the Kisoko transloading station and the cane cutters bulk payments solutions software that were completed and commissioned during the year at a cost of Shs 201.4 million (2010 – Shs 274.6 million).

Notes to the Financial Statements (cont'd)

11 PROPERTY, PLANT AND EQUIPMENT (cont'd)

Included in factory plant and heavy mobile machinery are assets with a carrying value of Shs 11,801,000 (2010 – Shs 25,760,000) acquired under a Road Maintenance Unit package financed by the Kenya Sugar Board as disclosed on note 26.

All property, plant and equipment have been charged to secure banking facilities as disclosed on note 27.

Fully depreciated property, plant and equipment

	Cost/valuation		Normal annual depreciation charge	
	2011 Shs'000	2010 Shs'000	2011 Shs'000	2010 Shs'000
Factory plant and machinery	548,292	54,321	40,919	2,716
Heavy mobile machinery	64,382	64,382	14,595	11,976
Motor vehicles	229,837	221,029	48,877	32,174
Other equipment and fixtures	339,298	308,941	60,533	65,467
	<u>1,181,809</u>	<u>648,673</u>	<u>164,924</u>	<u>112,333</u>

12 INTANGIBLE ASSETS

	Computer software Shs'000	Development costs Shs'000	Total Shs'000
At 1 July 2010	188,521	135,969	324,490
Additions	1,544	-	1,544
At 30 June 2011	<u>190,065</u>	<u>135,969</u>	<u>326,034</u>
At 1 July 2010	190,065	135,969	326,034
Additions	6,259	-	6,259
Transfers from property, plant and equipment	12,648	-	12,648
At 30 June 2011	<u>208,972</u>	<u>135,969</u>	<u>344,941</u>
AMORTISATION			
At 1 July 2009	138,287	-	138,287
Charge for the year	44,868	-	44,868
At 30 June 2010	<u>183,155</u>	<u>-</u>	<u>183,155</u>
At 1 July 2010	183,155	-	183,155
Charge for the year	5,054	-	5,054
At 30 June 2011	<u>188,209</u>	<u>-</u>	<u>188,209</u>
NET BOOK VALUE			
At 30 June 2011	<u>20,763</u>	<u>135,969</u>	<u>156,732</u>
At 30 June 2010	<u>6,910</u>	<u>135,969</u>	<u>142,879</u>

Intangible assets represent computer software and development costs.

Notes to the Financial Statements (cont'd)

12 INTANGIBLE ASSETS (cont'd)

Development costs represent consultancy, sensitisation and environmental impact assessment costs incurred on the development of the Tana Delta Integrated Sugar Project in conjunction with Tana and Athi River Development Authority (TARDA). All expenditure incurred on the research phase of this project was expensed when incurred.

The amounts incurred are to be converted to equity in a company to be incorporated to run the project and in which it is envisaged that Mumias Sugar Company Limited will have the majority shareholding. The company is in the process of identifying suitable investors and financiers for the project. The development costs are not amortised as they have an indefinite useful life.

At 30 June 2011, intangible assets with a cost of Shs 177,188,585 (2010 – Shs 117,188,585) were fully amortised. The normal annual amortisation charge on these assets would have been Shs 50,056,955 (2010 – Shs 40,507,551).

13 PREPAID OPERATING LEASE RENTALS

The company owns 4,413.82 hectares of leasehold land. The land has been charged to secure banking facilities granted to the company as disclosed in note 27. The development was valued on 30 June 2011, by Tysons Limited, Registered Valuers and Estate Agents, on open market basis at Shs 790,000,000. The value of the land is not reflected as prepaid operating lease rentals as the land was allocated to the company by the Government of Kenya at no purchase consideration. In doing this, the company has applied the alternative recognition method allowed by IAS 20 'Accounting for Government Grants and Disclosure of Government Assistance' and accounted for both asset and grant at a nil nominal amount.

14 NON CURRENT RECEIVABLES

	2011 Shs'000	2010 Shs'000
Staff receivables	152,116	159,974
Less: receivable within one year (included under note 17)	(59,731)	(61,581)
Receivable after one year (non-current)	<u>92,385</u>	<u>98,393</u>

The company operates a car loan scheme for its employees where by eligible employees are given loans to acquire cars for their personal use. The loans are repayable within a maximum period of 60 months.

Included in the staff receivables balances are staff car loans amounting to Shs 141,926,379 (2010 – Shs 150,762,974) which are secured by the vehicles acquired through the loans. The effective interest rate on staff loans during the year was 5 % (2010 - 5%). Included in staff receivables is a balance of Shs 1,175,000 (2010 – Shs 4,731,000) due from a director of the company. The balance is secured by a vehicle acquired through the loan.

15 INVENTORIES

	2011 Shs'000	2010 Shs'000
Sugar and molasses	4,362	23,419
Sugar in process	158,129	86,523
	<u>162,491</u>	<u>109,942</u>
Mechanical and electrical spares	819,487	546,508
Fertilisers, chemicals and fuels	65,509	227,796
Other consumables	143,627	70,832
	<u>1,191,114</u>	<u>955,078</u>

Notes to the Financial Statements (cont'd)

15 INVENTORIES (Cont'd)

As detailed in note 11, inventories with a carrying cost of Shs 40,880,000 (2010: Shs 54,490,000) have satisfied the criteria for classification as plant and equipment in accordance with the provisions of IAS 16 and have therefore been transferred to property, plant and equipment.

The cost of inventories recognised as an expense during the period was Shs 8,502,010,367 (2010: Shs 8,222,345,678).

The cost of inventories recognised as an expense has been reduced by Shs nil (2010: Shs 56,209,172) in respect of reversal of write-downs of inventory to net realisable value.

	2011 Shs'000	2010 Shs'000
16 BIOLOGICAL ASSETS		
At beginning of the year	179,375	189,501
Additions at cost	174,421	166,005
Decrease due to harvest	(136,736)	(125,994)
	<u>217,060</u>	<u>229,512</u>
Loss arising from changes in fair value attributable to physical changes	(2,767)	(72,503)
(Loss)/ gain arising from changes in fair value attributable to price changes	(3,678)	22,366
	<u>(6,445)</u>	<u>(50,137)</u>
Fair value loss during the year	<u>(6,445)</u>	<u>(50,137)</u>
Carrying amount at the end of the year	<u>210,615</u>	<u>179,375</u>

Significant assumptions made in determining the fair values of biological assets and agricultural produce are:

- The valuation is based on a market price of Shs 3,200 per tonne of sugar cane (2010 – Shs 3,148).
- Cost of cane at the age of six months and below approximate fair value. Mature cane has been stated at fair value less point of sale costs.
- The estimated sucrose content per tonne of mature cane (pol value) at various stages of growth will remain constant at between 8.9% and 12.8% depending on the age of the cane across the sugar belt.

In determining the present value of expected net cash flows, the company has not discounted the cash flows as standing cane will mature within the next reporting period and therefore the impact of the passage of time on estimated future cash flows is not significant.

	2011 Shs'000	2010 Shs'000
17 TRADE AND OTHER RECEIVABLES		
Receivables from farmers for inputs and services*	2,047,263	1,298,622
Trade receivables	827,741	449,669
Other receivables and prepayments	502,253	589,771
Advance payments to suppliers	376,342	632,698
Staff receivables (note 14)	59,731	61,581
KPLC receivables	50,265	283,868
Advance to Busia Sugar Company Ltd (in receivership)	-	11,035
	<u>3,863,595</u>	<u>3,327,244</u>

The KPLC receivables represents costs incurred by the company on behalf of KPLC for the construction of a transmission line between Mumias and Musaga substation in order to export power to the national grid. The costs (inclusive of taxes) of undertaking the design, construction, installation, testing and commissioning of the KPLC interconnection facilities were to be borne by KPLC and are recoverable from KPLC in accordance with the KPLC Interconnection Facilities Project Implementation agreement.

The construction of cogeneration plant was financed partly through the PROPARGO loan. Under the direct Power Purchase Agreement (PPA), between KPLC, PROPARGO and the company, KPLC has assigned the rights of the borrower to the lender. The rights are inclusive of the lenders ability to instruct KPLC on where to make payments relating to the PPA. The amount receivable from KPLC of Shs 50.3 million forms part of the collateral for the PROPARGO loan.

Included in trade receivables is Sh 77,328,811 (2010 – Sh 130,025,167) that relates to the sale of electricity to KPLC in the normal course of trade.

*Receivables from farmers for services and inputs

Notes to the Financial Statements (cont'd)

17 TRADE AND OTHER RECEIVABLES (Cont'd)

	2011 Shs'000	2010 Shs'000
Gross amount	2,413,345	1,735,713
Provision for doubtful debts	(366,082)	(437,091)
Net amount (note 17)	<u>2,047,263</u>	<u>1,298,622</u>

The company provides agricultural extension services and inputs to farmers and recovers these amounts from the amounts payable to the farmers for harvested cane.

	Gross amount Shs'000	Provision for doubtful debts Shs'000	Net 2011 Shs'000	Net 2010 Shs'000
Accountancy fees and agricultural extension services	251,453	(251,453)	-	-
Interest receivable from MOCO	426,717	(426,717)	-	-
Advance to MOCO	56,813	(56,813)	-	-
	<u>734,983</u>	<u>(734,983)</u>	<u>-</u>	<u>-</u>

The directors have made provisions for the amounts deemed not recoverable from Mumias Outgrowers Company Organisation (MOCO) due to its inability to meet its obligations as they fall due.

The interest receivable from MOCO has been disputed by MOCO (note 33).

18 COLLATERAL DEPOSIT

	2011 Shs'000	2010 Shs'000
At beginning of the year	286,709	272,892
Currency translation gain	27,815	13,817
At the end of the year	<u>314,524</u>	<u>286,709</u>

This is a term deposit which represents a 10% advance collateral deposit on the PROPARGO Loan Facility (note 27) that the company was required to place in a Debt Reserve Bank Account with a receiving bank (Barclays Bank of Kenya Limited). The deposit amounted to US dollars 3.5 million. The deposit earns interest at a rate of LIBOR minus 0.25%. The amount is expected to be discharged by December 2017 when the loan is fully repaid.

19 SHORT TERM DEPOSITS – Held to maturity

	2011 Shs'000	2010 Shs'000
At amortised cost		
Maturing within 90 days		
Barclays Bank of Kenya Limited	14,345	218,422
Co-operative Bank of Kenya Limited	-	301,019
Kenya Commercial Bank Limited	-	300,935
	<u>14,345</u>	<u>820,376</u>

Notes to the Financial Statements (cont'd)

19 SHORT TERM DEPOSITS – Held to maturity (Cont'd)

	2011 Shs'000	2010 Shs'000
At amortised cost		
Maturing within 90 days		
Barclays Bank of Kenya Limited	14,345	218,422
Co-operative Bank of Kenya Limited	-	301,019
Kenya Commercial Bank Limited	-	300,935
	<u>14,345</u>	<u>820,376</u>
The effective interest rates were as follows:		
	2011 %	2010 %
Barclays Bank of Kenya Limited	1.0	4.00
Co-operative Bank of Kenya Limited	-	3.50
Kenya Commercial Bank Limited	-	4.00

20 QUOTED INVESTMENTS – At fair value through profit or loss

	2011 Shs'000	2010 Shs'000
At beginning of the year	-	-
Conversion to shares	22,164	-
Fair value gain	3,103	-
	<u>25,267</u>	<u>-</u>
At the end of the year		

The company was allotted the Uchumi Supermarkets Limited ordinary shares after the supermarket chain was relisted at the Nairobi Stock Exchange. This was in exchange for an outstanding debt of Shs 14,937,205 owed to the company by Uchumi supermarkets Limited and a debenture of Shs. 7,226,625. The total amount of Shs. 22,163,830 was exchanged for 2,216,383 ordinary shares at a par value of Sh 10 per share. As at the end of the year, the market price per share was Sh 11.40.

21 NON CURRENT ASSETS HELD FOR SALE

	Building Shs'000	Factory plant and equipment Shs'000	Heavy mobile machinery Shs'000	Motor vehicles Shs'000	Other equipment and fixtures Shs'000	Total Shs'000
COST						
At 1 July 2009	442	1,344	35,088	12,619	9,116	58,609
Transferred from property, plant and equipment (note 11)	6,892	44,754	1,812	-	-	53,458
Disposals	(6,892)	(44,754)	(5,102)	(2,436)	(1,624)	(60,808)
At 30 June 2010	442	1,344	31,798	10,183	7,492	51,259
At 1 July 2010	442	1,344	31,798	10,183	7,492	51,259
Transferred from property, plant and equipment (note 11)	-	-	-	7,242	272	7,514
Disposals	(442)	(1,344)	(31,798)	(17,425)	(7,764)	(58,773)
At 30 June 2011	-	-	-	-	-	-

Notes to the Financial Statements (cont'd)

22 NON CURRENT ASSETS HELD FOR SALE

	Building Shs'000	Factory plant and equipment Shs'000	Heavy mobile machinery Shs'000	Motor vehicles Shs'000	Other equipment and fixtures Shs'000	Total Shs'000
DEPRECIATION						
At 1 July 2009	39	1,266	26,898	12,619	5,692	46,514
Transferred from property, Plant and equipment (note 11)	1,764	9,116	1,813	-	-	12,693
Eliminated on disposal	(1,764)	(9,116)	(4,305)	(2,436)	(1,378)	(18,999)
At 30 June 2011	39	1,266	24,406	10,183	4,314	40,208
At 1 July 2010	39	1,266	24,406	10,183	4,314	40,208
Transferred from property, Plant and equipment (note 11)	-	-	-	7,242	272	7,514
Eliminated on disposal	(39)	(1,266)	(24,406)	(17,425)	(4,586)	(47,722)
At 30 June 2011	-	-	-	-	-	-
NET BOOK VALUE						
At 30 June 2011	-	-	-	-	-	-
At 30 June 2010	403	78	7,392	-	3,178	11,051

Assets held for sale represent assets that the company intends to dispose of within the next year in their present condition.

23 SHARE CAPITAL

	2011 Shs'000	2010 Shs'000
Authorised: 2,500,000,000 ordinary shares of Shs 2 each	5,000,000	5,000,000
Issued and fully paid: 1,530,000,000 ordinary shares of Shs 2 each	3,060,000	3,060,000

Issued and fully paid ordinary shares, which have a par value of Shs 2, carry one vote per share and carry a right to dividend.

24 DEFERRED INCOME TAXATION LIABILITY

Deferred income taxes are calculated on all temporary differences under the liability method using the enacted tax rate of 30%.

The net deferred taxation liability is attributable to the following items:

	2011 Shs'000	2010 Shs'000
Deferred taxation liabilities:		
Accelerated capital allowances	2,281,373	2,316,940
Revaluation surpluses	1,522,481	658,219
Unrealised exchange gains	37,054	49,158
	<u>3,840,908</u>	<u>3,024,317</u>

Notes to the Financial Statements (cont'd)

	2011 Shs'000	2010 Shs'000
24 DEFERRED INCOME TAXATION LIABILITY (cont'd)		
Deferred taxation assets:		
Provision for service gratuity	(4,265)	(7,881)
Provision for staff leave pay	(10,147)	(8,843)
Fair value adjustment - biological assets	(53,825)	(16,576)
Unrealised exchange losses	(192,879)	(156,870)
General doubtful debts provision	(33,178)	(41,566)
Impairment losses	(18,874)	(24,800)
Other provisions	(4,500)	(4,500)
Tax losses available for offset against future profits	(195,791)	(917,080)
	<u>(513,459)</u>	<u>(1,178,116)</u>
	<u>3,327,449</u>	<u>1,846,201</u>
The movement on the deferred taxation account during the year was as follows:		
At 1 July	1,846,201	1,238,710
Charge/(credit) - note 8(a)		
- Current year	734,899	600,856
- Prior year	(177,193)	6,635
Revaluation surplus	<u>923,542</u>	<u>-</u>
At 30 June	<u>3,327,449</u>	<u>1,846,201</u>
25 RETIREMENT BENEFITS OBLIGATIONS		
(a) Provision for service gratuity		
Balance at the beginning of the year	26,274	21,051
Provision for the year	19,272	17,265
Paid during the year	<u>(31,329)</u>	<u>(12,042)</u>
Balance at the end of the year	<u>14,217</u>	<u>26,274</u>
Maturity analysis		
Within one year	10,482	6,474
After one year	<u>3,735</u>	<u>19,800</u>
	<u>14,217</u>	<u>26,274</u>
(b) Staff retirement defined benefit scheme		
A full actuarial valuation was last carried out as at 30 June 2010 by Alexander Forbes Financial Services (E.A.) Limited. An updated valuation was carried out as at 30 June 2011 for the purposes of identifying material movements as at the end of the reporting period. The present value of the defined benefit obligation, and the related current service cost and past service cost, were measured using the Projected Unit Credit Method. The next full actuarial valuation is scheduled for 30 June 2013.		
The principal assumptions used for the purposes of the actuarial valuations were as follows:		
	2011	2010
Discount rate (% p.a)	13	10
Expected return on scheme assets (% p.a)	10	10
Future salary increases (% p.a)	8	8
Future Pension increases (% p.a)	<u>-</u>	<u>-</u>

Notes to the Financial Statements (cont'd)

25 RETIREMENT BENEFITS OBLIGATIONS (cont'd)		
(b) Staff retirement defined benefit scheme (cont'd)		
The expense incurred in the year in respect of these defined benefit plans is as follows.		
	2011 Shs'000	2010 Shs'000
Current service cost net of employees contributions	57,738	37,936
Interest on obligation	139,300	124,600
Expected return on plan assets	<u>(135,700)</u>	<u>(103,600)</u>
Total expense	<u>61,338</u>	<u>58,936</u>
The company's obligations in respect of its defined benefit plans are as follows.		
	2011 Shs'000	2010 Shs'000
Present value of funded obligations	1,358,600	1,416,000
Fair value of scheme assets	<u>(1,373,000)</u>	<u>(1,369,900)</u>
Net (over)/under funding in funded plan	(14,400)	46,100
Accumulated unrecognized actuarial asset/(losses)	<u>14,400</u>	<u>(46,100)</u>
Net asset	<u>-</u>	<u>-</u>
Movements in the present value of the defined benefit obligation in the current and previous period were as follows:		
Opening defined benefit obligation	1,416,000	1,276,800
Current service cost (net of employee contributions)	40,900	38,600
Employee contributions	29,900	27,500
Interest costs	139,300	124,600
Actuarial losses	(151,600)	76,800
Benefits paid	<u>(115,900)</u>	<u>(128,300)</u>
Closing defined benefit obligation	<u>1,358,600</u>	<u>1,416,000</u>
Movements in the present value of the plan assets in the current and previous period were as follows:		
Opening fair value of plan assets	1,369,900	1,057,400
Expected return on plan assets	135,700	103,600
Employee contributions	29,900	27,500
Employer contributions	59,400	58,800
Actuarial (losses)/ gains	(106,000)	250,900
Benefits paid	<u>(115,900)</u>	<u>(128,300)</u>
Closing fair value of plan assets	<u>1,373,000</u>	<u>1,369,900</u>

Notes to the Financial Statements (cont'd)

25 RETIREMENT BENEFITS OBLIGATIONS (Cont'd) (b) Staff retirement defined benefit scheme (Cont'd)

The major categories of plan assets at the end of the reporting period are shown below;

The major categories of plan assets, and the expected rate of return at the end of the reporting period for each category, are as follows.

	Fair value of plan assets		Proportion	
	2011 Sh '000	2010 Sh '000	2011 %	2010 %
Equities	413,939	448,764	30	33
Government Bonds	585,108	614,593	43	45
Corporate Bonds	113,186	98,719	8	7
Fixed, call and other deposits	98,337	72,336	7	5
Others investments	162,430	135,530	12	10
	1,373,000	1,369,942	100.00	100.00
Weighted average expected return	137,300	136,994	10.00	10.00

The weighted expected return on scheme assets is 10% (2010: 10%) per annum.

The overall expected rate of return is a weighted average of the expected returns of the various categories of plan assets held. The director's assessment of the expected returns is based on historical return trends and analysts' predictions of the market for the asset in the next twelve months.

The actual return on plan assets was Shs 29,700,000 (2010: Shs 354,500,000).

Contributions to the company staff retirement defined benefit scheme are determined by the rules of the scheme and totalled Shs 61,337,760 (2010 – Shs 58,819,000) in the year.

The history of experience adjustments is as follows;

	30 June 2011 Shs '000	30 June 2010 Shs '000	30 June 2009 Shs '000
Present value of defined benefit obligation	1,358,600	1,416,000	1,276,800
Fair value of plan assets	(1,373,000)	(1,369,900)	(1,057,400)
Net (over)/under funding in funded plan	(14,400)	46,100	219,400
Experience adjustments on plan liabilities	(151,600)	76,800	29,100
Experience adjustments on plan assets	(106,000)	250,900	(292,300)

The company expects to make a contribution of Shs 67,471,536 (2010 - Shs 64,700,900) to the defined benefit plans during the next financial year.

Notes to the Financial Statements (cont'd)

26 DEFERRED GRANT INCOME

	2011 Shs'000	2010 Shs'000
At the beginning of the year	25,760	37,786
Amortisation for the year	(13,960)	(12,026)
At the end of the year	11,800	25,760

The deferred grant income represents the unamortised portion of funds received towards the purchase of equipment under a Roads Maintenance Unit package financed by the Kenya Sugar Board. The amortisation for the year is equivalent to the depreciation charge for the equipment purchased under the grant.

27 BORROWINGS

	2011 Shs'000	2010 Shs'000
PROPARCO	2,405,181	2,529,780
Commercial Bank of Africa	205,137	-
Barclays Bank of Kenya	240,000	-
ECOBANK	155,544	-
The borrowings comprise (note 30(b))	3,005,862	2,529,780

The borrowings are repayable as follows:

	2011 Shs'000	2010 Shs'000
On demand or within 1 year	610,028	337,304
Within 2 and 5 years	1,840,793	1,349,216
Within 5 and 10 years	555,041	843,260
Long term borrowings	2,395,834	2,192,476
Total borrowings	3,005,862	2,529,780

Analysis of borrowings by currency

	Borrowings in US\$	Kshs equivalent Shs'000	Borrowings in local currency Shs'000	Total borrowings Shs'000
30 June 2011				
PROPARCO loan	26,764,705	2,405,181	-	2,405,181
Commercial Bank of Africa	2,282,752	205,137	-	205,137
Barclays Bank of Kenya	-	-	240,000	240,000
Ecobank	-	-	155,544	155,544
	29,047,457	2,610,318	395,544	3,005,862
30 June 2010				
PROPARCO loan	30,882,352	2,529,780	-	2,529,780

Notes to the Financial Statements (cont'd)

27 BORROWINGS (cont'd)

Movement in borrowings analysed by currency

	Borrowings in US\$ Shs'000	Borrowings in local currency Shs'000	Total borrowings Shs'000
2011			
At 1 July 2011	2,529,780	-	2,529,780
Additional loans	205,137	635,544	840,681
Repayment of principal	(339,863)	(240,000)	(579,863)
Accrued interest	160,277	19,879	180,156
Repayment of interest	(160,277)	(19,879)	(180,156)
Currency translation loss	215,264	-	215,264
At 30 June	2,610,318	395,544	3,005,862
2010			
At 1 July	2,700,523	-	2,700,523
Repayment of principal	(314,247)	-	(314,247)
Repayment of interest	(169,152)	-	(169,152)
Accrued interest	169,152	-	169,152
Currency translation loss	143,504	-	143,504
At 30 June	2,529,780	-	2,529,780

The company obtained a US dollar 35 million loan facility from PROPARCO and used the funds for the development of the Co-generation project. The loan was disbursed in two tranches of US dollar 30 million and US dollar 5 million attracting fixed interest rates of 6.82% and 4.82% respectively.

The principal was repayable in equal quarterly instalments over a period of 10 years commencing from September 2010. The loan is secured by a fixed charge over the Co-generation plant, receivables from KPLC as well as the collateral deposit (note 18) which amounts to and should always amount to 10% of the loan disbursed as security.

The company had undrawn committed banking facilities amounting to Shs 1,893,000,000 (2010 – Shs 1,182,287,000). The banking facilities consist of bank overdrafts, guarantees and letters of credit.

The banking facilities are secured by legal charges over LR Mumias Sugar Scheme/2 and fixed and floating debentures over all of the company's assets for Shs 1,380,318,000 shared out on a parri passu basis by Kenya Commercial Bank Limited, Kenya Commercial Finance Company Limited and CFC Stanbic Bank Limited, with Barclays Bank of Kenya Limited share being Shs 630,815,000.

The effective interest rates on the borrowings during the year were:

	2011	2010
PROPARCO	6.53%	6.53%
Bank overdrafts	15.00%	12.50%

28 TRADE AND OTHER PAYABLES

	2011 Shs'000	2010 Shs'000
Trade payables	805,537	1,030,041
Out growers	433,008	534,166
Prepaid sales	394,325	158,235
Accruals	252,214	524,472
Other payables	139,315	320,578
	2,024,399	2,567,492

Notes to the Financial Statements (cont'd)

29 PROVISION FOR STAFF LEAVE PAY

	2011 Shs'000	2010 Shs'000
At the beginning of the year	29,478	28,157
Provision for the year	8,247	4,929
Paid in the year	(3,903)	(3,608)
At the end of the year	33,822	29,478

30 NOTES TO THE STATEMENT OF CASH FLOWS

(a) Reconciliation of profit before taxation to cash generated from operations

	2011 Shs'000	2010 Shs'000
Profit before taxation	2,646,575	2,179,874
Adjustments:		
Finance income	(144,831)	(404,226)
Finance costs	186,385	368,891
Depreciation (note 11)	884,569	862,870
Amortisation (note 12)	5,054	44,868
Loss on disposal of non current assets held for sale	9,519	26,308
Write back of provision on Uchumi receivables and debentures	(22,164)	-
Amortisation of deferred grant income (note 26)	(13,960)	(12,026)
Foreign exchange losses/ (gains) on borrowings	215,264	(2,573)
Gain on revaluation of quoted investments	(3,103)	-
Cash generated from operations before working capital changes	3,763,308	3,063,986
Movements in:		
Non-current receivables	6,008	(19,265)
Inventories (note 30(d))	(276,916)	(213,472)
Biological assets	(31,240)	10,126
Trade and other receivables	(536,351)	(64,309)
Collateral deposit	(27,815)	(13,817)
Provision for service gratuity	(12,057)	5,223
Trade and other payables	(543,093)	58,382
Provision for staff leave pay	4,344	1,321
Cash generated from operations	2,346,188	2,828,175

(b) Loans movement

	2011 Shs'000	2010 Shs'000
At beginning of year	2,529,780	2,700,523
Received	840,681	-
Repayment of principal	(579,863)	(314,247)
Accrued interest	180,156	(169,152)
Repayment of interest	(180,156)	169,152
Currency translation loss	215,264	143,504
At end of the year (note 27)	3,005,862	2,529,780

Notes to the Financial Statements (cont'd)

30 NOTES TO THE STATEMENT OF CASH FLOWS (cont'd)

	2011 Shs'000	2010 Shs'000
(c) Analysis of the balances of cash and cash equivalents		
Cash and bank balances	642,090	525,751
Deposits with financial institutions (note 19)	14,345	820,376
	<u>656,435</u>	<u>1,346,127</u>
(d) Movement in inventory		
Increase in inventory	(236,036)	(158,982)
Critical spares transferred from inventory (note 11)	(40,880)	(54,490)
	<u>(276,916)</u>	<u>(213,472)</u>

31 OPERATING LEASE ARRANGEMENTS

The company as lessee:

Minimum lease payments under operating leases recognised through profit or loss	24,332	27,049
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At the end of the reporting period, the company had outstanding commitments under operating leases, payable as follows:

Within one year	13,297	19,861
In the second to fifth years inclusive	53,188	45,234
	<u>66,485</u>	<u>65,095</u>

Operating lease payments represent rentals payable by the company for certain of its office premises, storage facilities and cane farming. The leases are cancellable with no penalty when the company gives three months notice to vacate the premises.

The company as a lessor:

Property rental income earned during the year amounted to Shs 11,714,000 (2010 – Shs 11,224,000). At the end of the reporting period, the company had contracted with tenants for the following future lease receivables.

	2011 Shs'000	2010 Shs'000
Within one year	11,714	11,224
In the second to fifth years inclusive	46,856	44,896
	<u>58,570</u>	<u>56,120</u>

Notes to the Financial Statements (cont'd)

	2011 Shs'000	2010 Shs'000
32 CAPITAL COMMITMENTS		
Commitments at the year end for which no provision has been made in these financial statements:		
Authorised and contracted for	420,986	25,470
Authorised but not contracted for	2,558,897	5,253,000
	<u>2,979,883</u>	<u>5,278,470</u>

The capital commitments relate primarily to expenditure on the water management program (Shs 75 million), Energy conservation project (Shs. 200 million), Sugar color improvement initiative (Shs. 300 million), Lightening protection installation (Shs. 80 million) and the new administration office block (Shs. 200 million). The company intends to fund these commitments through internally generated funds, loans and overdrafts.

33 CONTINGENT LIABILITIES

At 30 June 2011, the company was a defendant in various litigations and claims amounting to Shs 42,037,955 (2010: Shs 16,850,510), which arose in the ordinary course of business.

Included in the 2010 balance is an amount of Shs 53 million in respect of a claim filed by a former customer in respect of breach of contract. The company has fully provided for the amount as yet unpaid to the plaintiff in the current year and therefore no contingent liability in respect of this balance is included in the current year financial statements.

Mumias Sugar Company Limited (MSC) and MOCO have a dispute where MOCO has made a claim of Shs 3,531,008,011 in respect of cane development funds and interest overcharge. The dispute was taken to arbitration but the arbitration process was suspended after a judicial review. The directors are of the opinion that the claim is unlikely to succeed and has therefore not been provided for in these financial statements.

All amounts due from MOCO in respect of accountancy fees, outstanding loans and advances, subsidies to farmers and accrued interest have been fully provided for as indicated in Note 17(b)

34 RELATED PARTY BALANCES AND TRANSACTIONS

a) Staff loans

The company operates a company car loan scheme for managerial and supervisory employees. The balances outstanding on that scheme at year end was Shs 141,926,379 (2010 – Shs 150,762,974). The cars are registered in joint names of the company and the employees as security for the car loans. The interest income earned on staff loans in the year amounted to Shs 7,678,000 (2010 – Shs 6,531,000).

b) Key management compensation

The remuneration for key management during the year was as follows:

	2011 Shs'000	2010 Shs'000
Salaries and other benefits	81,308	68,259



Notes to the Financial Statements (cont'd)

34 RELATED PARTY BALANCES AND TRANSACTIONS (cont'd)

	2011 Shs'000	2010 Shs'000
c) Directors' remuneration		
Fees for services as directors	6,286	5,500
Other emoluments	54,738	49,402
	<u>61,024</u>	<u>54,902</u>

35 RISK MANAGEMENT POLICIES

Overview

The company's activities expose it to a variety of operational and financial risks. These activities involve the analysis, evaluation, acceptance and management of some degree of risk or combination of risks. Taking risk is core to the company's business and the operational risks are an inevitable consequence of being in business.

The company's aim is therefore to achieve an appropriate balance between risk and return and minimize potential adverse effects on its financial performance. The key types of financial risks include:

- Credit risk
- Market risk
- Liquidity risk

The key operational risks include political and environmental risks.

The company's financial risk management policies are designed to identify and analyse these risks, to set appropriate risk limits and controls, and to monitor the risks and at the same time ensuring adherence to laid down limits. This is achieved by means of reliable and up-to-date information systems. The company regularly reviews its financial risk management policies and systems to reflect changes in markets and emerging best practices. The company's overall risk management programme focuses on the unpredictability of changes in the business environment and seeks to minimize potential adverse effects of such risks on its financial performance within the options available in the Kenyan market by setting acceptable levels of risks. Financial risk management is carried out by senior management under the supervision of the Board of Directors. Management in conjunction with various committees then identifies, evaluates and addresses risks accordingly.

In addition, the company has an independent internal audit department which reports directly to the Board Audit Committee. This department is responsible for assessing the risk faced by the company on an ongoing basis, evaluate and test the design and effectiveness of its internal accounting and operational controls that address these risks. The company does not enter into or trade in financial instruments, including derivative financial instruments, for either hedging or speculative purposes.

Credit risk management

Credit risk refers to the risk that a counter party will default on its contractual obligations resulting in financial loss to the company. The company has adopted a policy of only dealing with creditworthy counterparties and obtaining sufficient collateral, where appropriate, as a means of mitigating the risk of financial loss from defaults. The company is exposed to this risk in several areas including trade and other receivables and cash and cash equivalents. However, the company's credit risk is concentrated mainly in advances issued to farmers in the form of farming inputs and in trade receivables in the form of sugar debtors.

The company gives advances to farmers in the form of farming inputs and services to facilitate sugarcane crop establishment and to improve the productivity of the growing crop. Advances to farmers are eventually deducted from the value of the cane delivered upon harvesting. The key risk is therefore that the yield from the crop will not be sufficient to cover the advanced credit.

Notes to the Financial Statements (cont'd)

35 RISK MANAGEMENT POLICIES (Cont'd)

Credit risk management (cont'd)

The company counters this risk by placing significant emphasis on the vetting and selection of farmers. This is done with the aid of comprehensive and documented criteria which includes a review of farmers' payment histories. The company also monitors budgeted sales outputs and expected factory crushing capacity and also forecasts of expected environmental conditions to aid it in budgeting for these advances. However the existence of favourable weather conditions will always remain outside the control of the company. Political upheavals and general unrest also pose a risk to the company usually resulting in the burning of immature cane. Burning of immature cane reduces the quality and the quantity of the yield from such cane in addition to raising production costs and waste. While an element of this risk is outside the company's control, it has however sought to mitigate this risk by enhancing security in its nucleus estates. The company does not purchase burnt cane from farmers in order to discourage irresponsible burning of immature cane by farmers in order to readily obtain quick cash.

The company is in the process of expanding its operations to avoid over-reliance on the small holder out grower systems with its significant operational challenges. This is mainly through expanding to other farming areas where it can employ the mechanized plantation farming which is expected to be easier and less costly to manage, result in higher per hectare productivity and reduced operational costs hence making the business more competitive and as a result yield higher returns for the shareholders. The company has also diversified into energy production to reduce over reliance on sugar sales.

The bulk of the company's revenue relates to sugar sales. The company has a documented credit policy whose management and implementation is overseen by a Credit Committee. The Committee manages limits and controls concentrations of credit risk wherever they are identified. It structures the levels of credit risk it undertakes by placing limits on the amount of risk acceptable in relation to a debtor or categories of debtors. Such risks are monitored on a regular basis and are subject to regular reviews. Exposure to credit risk is managed through regular analysis of the ability of credit customers to meet their obligations and by adjusting the limits appropriately. The credit risk on trade receivables is further mitigated by requiring most credit customers to provide guarantees issued by reputable banks recommended by the company.

In measuring credit risk relating to trade receivables, the company therefore reflects three components:

The 'probability of default' by the customer or counterparty on its contractual obligations; current exposures to the counterparty and its likely future development, from which the company derive the 'exposure at default'; and the likely recovery ratio on the defaulted obligations

With regard to impairment of outstanding receivables, it is the company's policy to assess/review all debts over 90 days for impairment and to provide for all debts where a debtor is declared bankrupt. In some cases where an unsecured customer is in arrears the whole amount is provided for.

Maximum exposure to credit risk before collateral held or other credit enhancements

The maximum exposure to credit risk represents a worst case scenario of credit risk exposure to the company at the end of the reporting period, without taking account of any collateral held or other credit enhancements attached. For reported financial assets, this exposure is based on net carrying amounts as reported in the statement of financial position.

Collateral

The collateral held for sugar debtors include guarantees from reputable banks recommended by the company. Staff debtors mainly comprise car loans advanced to members of staff. The vehicles are jointly registered in the employee and company's name and hence there is no significant exposure arising from staff receivables. The credit risk on liquid funds is limited because the counterparties are commercial banks with high credit-ratings assigned by international credit-rating agencies. No collateral is held for advances to farmers.

The credit risk exposures are classified in three categories:

Neither past due nor impaired

The company classifies financial assets under this category for those exposures that are upto date and in line with contractual agreements.

Notes to the Financial Statements (cont'd)

35 RISK MANAGEMENT POLICIES (Cont'd)

Credit risk management (cont'd)

Past due but not impaired

These relate to financial assets that have passed the contractual payment period but are expected to be recovered within reasonable timelines. These assets are not impaired and continue to be recovered with the active involvement of management. The collateral held for sugar debtors in this category includes guarantees from reputable banks recommended by the company.

Impaired

Impaired financial assets are those for which the company determines that it is probable that it will be unable to collect all payments due according to the contractual terms of the agreement(s). No collateral is held with respect to the debt, or the collateral doesn't sufficiently cover the exposure.

On an ongoing basis, a credit evaluation is performed on the financial condition of accounts receivable.

Analysis of credit risk exposure

The company's largest customer accounted for 14.5% (2010: 11%) of its current year sales.

Concentration of credit risk to the largest customer did not exceed 5% of gross monetary assets at the end of the reporting period. Concentration of credit risk to any other counter party did not exceed 5% of gross monetary assets at the end of the reporting period.

The amount that best represents the company's maximum exposure to credit risk as at 30 June 2011 is made up as follows:

	Neither past due nor impaired Shs'000	Past due but not impaired Shs'000	Impaired Shs'000	Total Shs'000
Trade receivables	754,558	73,183	82,311	910,052
Receivables from farmers	-	2,047,263	366,082	2,413,345
MOCO receivables	-	-	734,983	734,983
KPLC receivables	50,265	-	-	50,265
Quoted investments – Uchumi shares	25,267	-	-	25,267
Collateral deposit	314,524	-	-	314,524
Short term deposits	14,345	-	-	14,345
Bank balances	642,090	-	-	642,090
	1,801,049	2,120,446	1,183,376	5,104,871
Less: impairment allowance	-	-	(1,183,376)	(1,183,376)
	1,801,049	2,120,446	-	3,921,495

The amount that best represents the company's maximum exposure to credit risk as at 30 June 2010 is made up as follows:

Trade receivables	256,117	193,552	136,428	586,097
Receivables from farmers	-	1,298,622	437,091	1,735,713
MOCO receivables	-	-	721,308	721,308
KPLC receivables	283,868	-	-	283,868
Quoted investments – Uchumi shares	-	-	7,266	7,266
Collateral deposit	286,709	-	-	286,709
Short term deposits	820,376	-	-	820,376
Bank balances	525,751	-	-	525,751
Advance to Busia Sugar	11,035	-	-	11,035
	2,183,856	1,492,174	1,302,093	4,978,123
Less: impairment allowance	-	-	(1,302,093)	(1,302,093)
	2,183,856	1,492,174	-	3,676,030

Notes to the Financial Statements (cont'd)

35 RISK MANAGEMENT POLICIES (Cont'd)

Credit risk management (cont'd)

Analysis of credit risk exposure (cont'd)

Of the total gross amount of impaired receivables, the following amounts have been individually assessed as impaired:

	2011 Shs'000	2010 Shs'000
Trade receivables	82,311	136,428
Receivables from farmers	366,082	437,091
MOCO receivables	734,983	721,308
Debenture	-	7,266
	1,183,376	1,302,093

The table below shows the ageing profile of past due but not impaired receivables:

The table below shows the ageing profile of past due but not impaired receivables:

	2011 Shs'000	2010 Shs'000
Within 30 days	57,102	103,040
31 - 60 days	-	90,512
61 - 90 days	-	-
Above 90 days	2,063,344	1,298,622
	2,120,446	1,492,174

Market risk management

Market risk is the risk arising from changes in market prices, such as interest rate and foreign exchange rates which will affect the company's income or the value of its holding of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return. Overall responsibility for managing market risk rests with the company's management under the supervision of the Board of Directors.

(i) Interest rate risk

Interest rate risk arises primarily from borrowings, fixed and collateral deposits, cash and cash equivalents. The company's management monitors the sensitivity of reported interest rate movements on a monthly basis by assessing the expected changes in the different portfolios.

At 30 June 2011, an increase/decrease of 3 percentage points on interest rates would have resulted in a decrease/increase in pre-tax profit of Shs nil (2010 – Shs nil). The interest rate on the PROPARCO loan and Barclays bank loans are fixed thereby eliminating the interest rate risk. This has not been factored in the sensitivity analysis above.

(i) Currency risk

The company undertakes certain transactions denominated in foreign currencies, mainly the US dollar, the Euro, the Sterling Pound and the South African Rand. This results in exposures to exchange rate fluctuations. The balances impacted in this regard are the balances due to foreign suppliers, balances due from foreign debtors or denominated in foreign currency, bank balances and collateral and term deposits denominated in foreign currency.

As at 30 June 2011, an increase/decrease of 5 percentage points on exchange rates would have resulted in an decrease/increase in pre-tax profit of Shs 114,789,708 (2010 – Shs 84,621,688). This risk is primarily attributed to the PROPARCO loan after adjusting for the effect of US dollar denominated PROPARCO loan collateral deposit, term deposits, trade and other receivables and Euro denominated trade and other receivables.

Notes to the Financial Statements (cont'd)

35 RISK MANAGEMENT POLICIES (Cont'd)

Liquidity risk management

This is the risk that the company will encounter difficulties in meeting its financial commitments from its financial liabilities that are settled by delivering cash or another financial asset. Prudent liquidity risk management includes maintaining sufficient cash to meet company obligations when they fall due, under both normal and stressed conditions, without incurring unacceptable losses or at the risk of damaging the company's reputation.

Ultimate responsibility for liquidity risk management rests with the Board of Directors, which has developed and put in place an appropriate liquidity risk management framework for the management of the company's short, medium and long-term funding and liquidity management requirements.

The company manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows and matching the maturity profiles of financial assets and liabilities. In addition, all major capital investments are funded by a mixture of equity and long term debt.

The following table analyses the company's remaining contractual maturity for its non-derivative financial liabilities with agreed repayment periods. The table has been drawn up based on the undiscounted cash flows of financial liabilities based on the earliest date on which the company may be required to pay. The tables include both interest and principal cash flows and exclude the impact of netting agreements.

	1 - 6 months Shs'000	6 - 12 months Shs'000	1 - 5 years Shs'000	Above 5 years Shs'000	Total Shs'000
At 30 June 2011					
Borrowings	503,796	617,509	2,233,523	189,648	3,544,476
Trade payables	805,537	-	-	-	805,537
Payables to out growers	433,007	-	-	-	433,007
Total financial liabilities (contractual maturity dates)	1,742,340	617,509	2,233,523	189,648	4,783,020

At 30 June 2010

Borrowings	253,944	244,829	2,148,099	535,359	3,182,231
Trade payables	1,030,041	-	-	-	1,030,041
Payables to outgrowers	534,166	-	-	-	534,166
Total financial liabilities (contractual maturity dates)	1,818,151	244,829	2,148,099	535,359	4,746,438

Determination of fair value and fair values hierarchy

IFRS 7 specifies a hierarchy of valuation techniques based on whether the inputs to those valuation techniques are observable or unobservable. Observable inputs reflect market data obtained from independent sources; unobservable inputs reflect the bank's market assumptions. These two types of inputs have created the following fair value hierarchy:

- Level 1 – Quoted prices (unadjusted) in active markets for identical assets or liabilities. This level includes listed equity securities and debt instruments on exchanges.
- Level 2 – Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (that is, as prices) or indirectly (that is, derived from prices).
- Level 3 – inputs for the asset or liability that are not based on observable market data (unobservable inputs). This level includes equity investments and debt instruments with significant unobservable components. This hierarchy requires the use of observable market data when available. The company considers relevant and observable market prices in its valuations where possible.

Notes to the Financial Statements (cont'd)

35 RISK MANAGEMENT POLICIES (Cont'd)

Liquidity risk management (Cont'd)

The company has investment in quoted Uchumi shares which are carried at fair value through profit or loss amounting to Shs 25,267,000. This investment is categorised under level 1. There were no financial assets categorised under the other levels at the end of the reporting period (2010 – nil).

Political risk management

The nature of the company's business involves dealing in essential commodities. This causes it to interact with diverse groups of stakeholders; most of them with conflicting interests. The company is therefore exposed to political risks which can pose a threat to the smooth running of its operations. This could arise due to incitement of farmers not to supply cane which is the main source of raw materials. The cane harvesters can also be incited not to harvest the mature cane leading to stoppages and related down time losses among other risks.

The company has put an elaborate and an all-inclusive process of stakeholder engagement and communication that assists it in determining potential sources of stakeholder dissatisfaction and addresses them before they affect operations. The company also endeavors to keep its stakeholders informed of its plans and activities and how they will affect them. This helps in minimising mistrust between the company and its stakeholders and enabling a harmonious relationship and existence.

Environmental risk management

The process of growing and processing of sugar and its products involves a substantial amount of raw materials, water, chemicals and energy. This poses the risk that the company's processes could endanger the environment.

The company controls and manages environmental risks by:

- ensuring all environmental regulatory requirements are complied with;
- training staff on hazards and risks in the work place; and
- Providing protective clothing to employee working in hazardous environments.

The company has a health and safety unit fully dedicated to ensuring that employees of the company are neither exposed to hazards nor allowed to create hazards to the business.

36 CAPITAL MANAGEMENT

The company's objectives when managing capital are:

- To match the profile of its assets and liabilities, taking account of the risks inherent in the business;
- To maintain financial strength to support business growth; and
- To safeguard the company's ability to continue as a going concern so that it can continue to provide adequate returns to its shareholders and value to all other stakeholders.

The capital structure of the company consists of debt, which includes the borrowings, cash and cash equivalents and equity attributable to equity holders, comprising issued capital, reserves and retained earnings.

The Board of Directors reviews the capital structure on a regular basis. As part of this review, the board considers the cost of capital and the risks associated with each class of capital. Based on the review, the company analyses and assesses the gearing ratio to determine the appropriate levels. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings less cash and cash equivalents.

There have been no material changes in the company's management of capital during the year.

Notes to the Financial Statements (cont'd)

36 CAPITAL MANAGEMENT (cont'd)

	2011 Shs'000	2010 Shs'000
The gearing ratio at the year end was as follows:		
Shareholders' equity	14,476,007	10,999,852
Borrowings (note 27)	3,005,862	2,529,780
Collateral deposits (note 18)	(314,524)	(286,709)
Deposits with financial institutions (note 19)	(14,435)	(820,376)
Cash and bank balances	(642,090)	(525,751)
Net debt	2,034,813	896,944
Total capital	16,510,820	11,896,796
Gearing ratio	12.32%	7.54%

37 INCORPORATION

The company is domiciled and incorporated in Kenya under the Companies Act.

38 CURRENCY

These financial statements are prepared in thousands of Kenya Shillings (Shs '000).

Five Year Summary

	2006/07 Shs'000	2007/08 Shs'000	2008/09 Shs'000	2009/10 Shs'000	2010/11 Shs'000
Turnover	10,381,190	11,970,101	11,791,708	15,617,738	15,795,300
Cane purchases from out growers	4,216,471	5,010,627	4,923,637	6,630,910	6,536,896
Gross profit	3,587,948	4,265,524	3,310,968	4,884,538	5,446,730
Profit before taxation	1,909,894	1,589,204	1,193,161	2,179,874	2,646,575
Taxation	(516,283)	(375,367)	416,811	(607,491)	(713,350)
Profit after taxation	1,393,611	1,213,837	1,609,972	1,572,383	1,933,225
Shareholders' funds at period end	8,337,660	9,041,497	10,039,469	10,999,852	14,476,007
Gross profit margin	34.56%	35.63%	28.08%	31.38%	34.4%
Return on capital employed	16.71%	13.43%	16.04%	14.29%	13.35%
Number of shares, '000	1,530,000	1,530,000	1,530,000	1,530,000	1,530,000
Dividends	765,000	612,000	612,000	612,000	765,000
Dividends per share, Shs	0.50	0.40	0.40	0.40	0.50
Earnings per share, Shs	0.91	0.79	1.05	1.03	1.26
Direct revenue to Government by way of Value Added Tax and Income Tax	1,663,447	2,157,700	1,514,156	2,496,155	2,227,900
Staff costs:					
Management	722,665	734,067	907,541	1,129,231	954,974
Non-management	728,846	756,621	716,778	847,141	973,662
Total staff costs	1,451,511	1,490,688	1,624,319	1,976,372	1,928,636
Registered farmers at period end	77,200	81,789	84,567	89,012	104,489
Area under cane (Ha)					
Nucleus estate	3,851	3,755	3,722	3,554	3,683
Outgrowers	63,705	59,410	62,818	55,543	58,580
Cane processed (Thousand Tonnes)	2,119	2,408	2,161	2,318	2,245
Sugar produced (Thousand Tonnes)	217	265	231	236	236
Category of permanent employees:					
Management	470	453	588	541	579
Non-management	1,380	1,153	1,112	982	1,225
Total	1,850	1,606	1,700	1,523	1,804

[illegible]

The Company Secretary,
Mumias Sugar Company Limited (MSC)
Private Bag
Mumias

Share Member No.....

PROXY

I/We _____ of _____

Being a *Member/Members of the named Company, hereby appoint:

Or failing him _____ of _____

As*my/our proxy to vote for*me/us on*my/our behalf at the Annual General Meeting (AGM) of the Company to be held on Friday 2nd December 2011 and at any adjournment thereof.

*Strike out as appropriate

Signature (s).

Signed this _____ day of _____ 2011

Notes:

1. The address should be that shown in the register of members.
2. In the case of a member being a corporation, this form of proxy must be executed either under its common seal or signed on its behalf by an attorney or officer of the corporation duly authorized.
3. A person appointed to act as a proxy need not be a member of the Company.
4. In case of joint holders, the signature of any one holder will be sufficient but the names of all joint holders should be stated.

Cut here

Shareholders admission letter for MSC AGM on 2nd December, 2011

Please complete this letter and note that this admission letter must be produced at the Annual General Meeting by you or your proxy in order to record attendance.

Kindly note that only the registered shareholders or their proxy in order to record attendance.

Kindly note that only the registered shareholder or their proxy notified to the Company not later than 48 hours before the meeting will be admitted to the meeting.

NAME _____

SIGNATURE _____

SHARE ACCOUNT NUMBER

Annual General Meeting (AGM) of Mumias Sugar Company (MSC) to be held at Tom Mboya Labour College, Ring Road Milimani, Kisumu on Friday 2nd December 2011 at 10.00 am.



Fomu ya Uwakilishi

Nambari ya Mwanahisa.....

Katibu Wa Kampuni,

Mumias Sugar Company Limited (MSC)
Private Bag
Mumias

WAKALA

Mimi/Sisi _____ kutoka _____

Kama* mwanachama/Wanachama wa Kampuni iliyotajwa namteua/twamteua

_____ kutoka _____

Au akikosa _____ kutoka _____

Kama wakala wangu/wetu kupiga kura kwa niaba yangu*/sisi wakati wa Mkutano wa pamoja wa mwaka (AGM) utakaofanyika Ijumaa Desemba 2, 2011 au kuahirishwa kwake.

*Jaza panapohitajika.

Imetiwa sahihi _____ Tarehe _____ Mwaka 2011

Muhimu:

- 1) Anwani iwe kama ilivyoonyeshwa katika rejista ya wanachama
- 2) Endapo mwanachama atakuwa shirika, ni lazima fomu hii ya uwakilishi ipigwe mhuri au kutiwa sahihi kwa niaba yake na wakili au afisa wa shirika aliyeidhinishwa.
- 3) Si lazima kwa mtu aliyeteuliwa kama wakala kuwa mwanachama wa kampuni
- 4) Endapo mmiliki ni zaidi ya mmoja, sahihi ya mmoja wao itakuwa imetosha lakini majina ya wamiliki wote yaonyeshwe.

Kata Hapa

Barua ya kuwaruhusu wanahisa kuhudhuria mkutano wa pamoja wa mwaka wa MSC Ijumaa Desemba 2, 2011.

Tafadhali jaza barua hii na ufahamu kwamba ni lazima itolewe nawe au wakala wako wakati wa mkutano wa pamoja wa mwaka ili kurekodi idadi ya waliohudhuria.

Tafadhali fahamu kwamba ni wanahisa waliosajiliwa tu au mawakala wao ambao majina yao yatakuwa yamewasilishwa kwa kampuni saa 48 kabla ya kuanza kwa mkutano watakoruhusiwa kuhudhuria.

JINA _____

SAHIHI _____

AKAUNTI YA MWANAHISA _____

Mkutano wa pamoja wa mwaka wa Kampuni ya MSC utakaofanyika katika Chuo cha Tom Mboya Labour , Ring Road Milimani, Kisumu Ijumaa Desemba 2, 2011 Kuanzia saa nne asubuhi.



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